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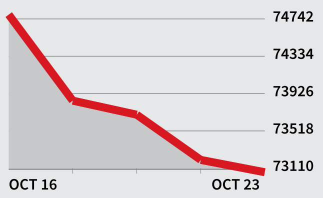
SENSEX 73123.83 (-1605.44)



IN FOCUS

	Week's close	Week's change
Nifty 50	22600.00	-546.15
P/E Ratio (Sensex)	19.07	-0.72
US Dollar (in ₹)	94.94	-0.02
Gold Std 10 gm (in ₹)	141063.00	-4777
Silver 1 kg (in ₹)	194415.00	-16503

CORPORATE FILE. **Can global satcom firms** satisfy India's security concerns while connecting remote regions? **p7**

CURRENT ACCOUNT. **Rescued Yes Bank** now finds itself in a fresh financial quagmire — ₹8,415 cr 'procedural lapse' **p9**

BENGALURU - CHENNAI - COIMBATORE - HUBBALLI - HYDERABAD - KOCHI - KOLKATA - MADURAI - MALAPPURAM - MANGALURU - MUMBAI - NOIDA - THIRUVANANTHAPURAM - TIRUCHIRAPALLI - VIJAYAWADA - VISAKHAPATNAM

RNI No. KARENG/2023/85271

MONDAY SPECIALS.

CLEANTECH

Renewable energy growth story hits a rough patch

India's efforts to build a domestic battery cell manufacturing industry have not gathered pace more than five years after an ₹18,100-crore incentive scheme was launched to establish 50 GWh of advanced chemistry cell (ACC) capacity. **p6**

SPARK

Founders who chose the 'nuclear option'

One start-up is trying to recreate the conditions that power the Sun. Another wants to trigger nuclear fusion using powerful laser pulses. A third is developing a mini nuclear reactor that can be transported to wherever electricity is needed. Their shared ambition? Turning nuclear technology, long dominated by the State, into an arena for private enterprise. **p8**

US-India trade deal in slow lane despite Rubio's optimism

FIRM STAND. Delhi unwilling to accept 18% tariff rate envisaged in February framework

Amiti Sen
New Delhi

Despite US Secretary of State Marco Rubio's optimism that 99 per cent of the deal is complete and an announcement could follow within weeks, the India-US interim trade pact remains stalled over Washington's insistence on higher import tariffs, with New Delhi unwilling to accept anything more than the additional 10 per cent levy Indian exports currently face, sources said.

Beyond the commercial impasse, India is weighing the domestic political implications of agricultural concessions that the Donald Trump administration hopes to showcase to voters in Republican-leaning states ahead of the US mid-term elections, sources said.

FAR FROM DONE. US Secretary of State Marco Rubio's hopes of a breakthrough in deal within weeks seems unfounded

NOT FEASIBLE

New Delhi believes an agreement is not feasible under the present tariff scenario and the US asks on agriculture, and is inclined to wait until the mid-term elections are over before deciding how to proceed, a source tracking the matter told *businessline*.

"At this moment, it is not economically feasible for India to accept tariffs greater than the current 10 per cent imposed on its exports under Section 301 (prohibition against forced labour imports). Also, it makes no sense to sign a deal two weeks before the mid-term elections in the US, telling everybody that we are going to sign an agreement fundamentally including products which come from the red states (ones that support US President Donald Trump). This will not fly politically in India," the source said.

Washington wants to retain the 18 per cent rate envisaged in the February framework, but India sees little reason to accept it when the current additional levy on Indian exporters is 10 per cent, imposed under Section 301 ruling linked to forced labour concern.

TERMS UNACCEPTABLE

The tariff situation changed dramatically after the framework was announced on February 7 with the US Supreme Court invalidating reciprocal tariffs imposed by the Trump administration, making the older terms unacceptable.

"Even if the US decides to be flexible and brings down proposed tariffs on India to below 18 per cent, say to 14 per cent or even 12 per cent, there is no way that India could accept it, given the fact that the current levels are 10 per cent. And one wouldn't expect Washington to go below the existing 10 per cent as it would be totally unpopular with certain vote banks," the source said.

AWAITING A RESPONSE

India is seeking assurances that if additional tariff penalties are imposed on the country, for instance under the Russia sanctions legislation or the Section 301 excess-capacity investigation, these would add up to levies lower than those on competing countries, such as Vietnam, Bangladesh and Indonesia. Washington has yet to respond satisfactorily, the source said.

"For New Delhi, accepting agricultural concessions alongside higher tariffs could be difficult to defend domestically. So, the deal must wait till there is clarity on the political situation in the US," the source said.

Investors wary as market slips into worst Samvat in 12 yrs; Nifty falls 13%

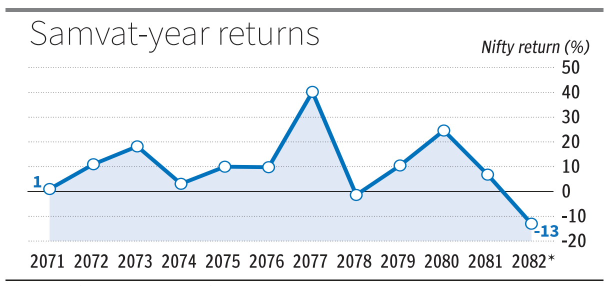
Ashokamithran T
Mahesh Ravidas Nayak
Mumbai

With less than 15 days left for Samvat 2083 to begin, Indian equities are entering the new Hindu financial year on a distinctly bearish note, marked by heightened volatility, weak investor sentiment and little conviction that markets have found a durable bottom.

Samvat 2082 is shaping up to be the worst Samvat year for investors since Prime Minister Narendra Modi assumed office in 2014. The Nifty is down around 13 per cent so far in the current Samvat year, a far steeper decline than the previous worst-performing Samvat of 2078 (3 November 2021 to 21 October 2022), when the benchmark index fell 1.4 per cent amid aggressive global interest-rate hikes, soaring inflation and the fallout from the Russia-Ukraine conflict.

The sharp correction stands in contrast to the strong gains investors have enjoyed over much of the past decade. Samvat 2080 delivered returns of 24.6 per cent, while Samvat 2077 saw a spectacular 40.2 per cent rally on the back of post-pandemic recovery and abundant global liquidity. Between Samvat 2071 and 2081, the market has registered an average return of 12 per cent.

Samvat-year returns



*from October 20, 2025 to October 23, 2026

"The current market phase is unusual because it lacks the normal signs of a turnaround that often emerge before a new Samvat begins, said Anand James, Chief Market Strategist at Geojit Financial Services. "This is the first time we are entering a Samvat period without visible signs of bottoming out," James said.

MOOD NEGATIVE

He noted that the Nifty has slipped back to levels seen in May 2026 while India VIX has climbed above 30, signalling elevated uncertainty among traders. Beneath the surface, the damage has been even more severe.

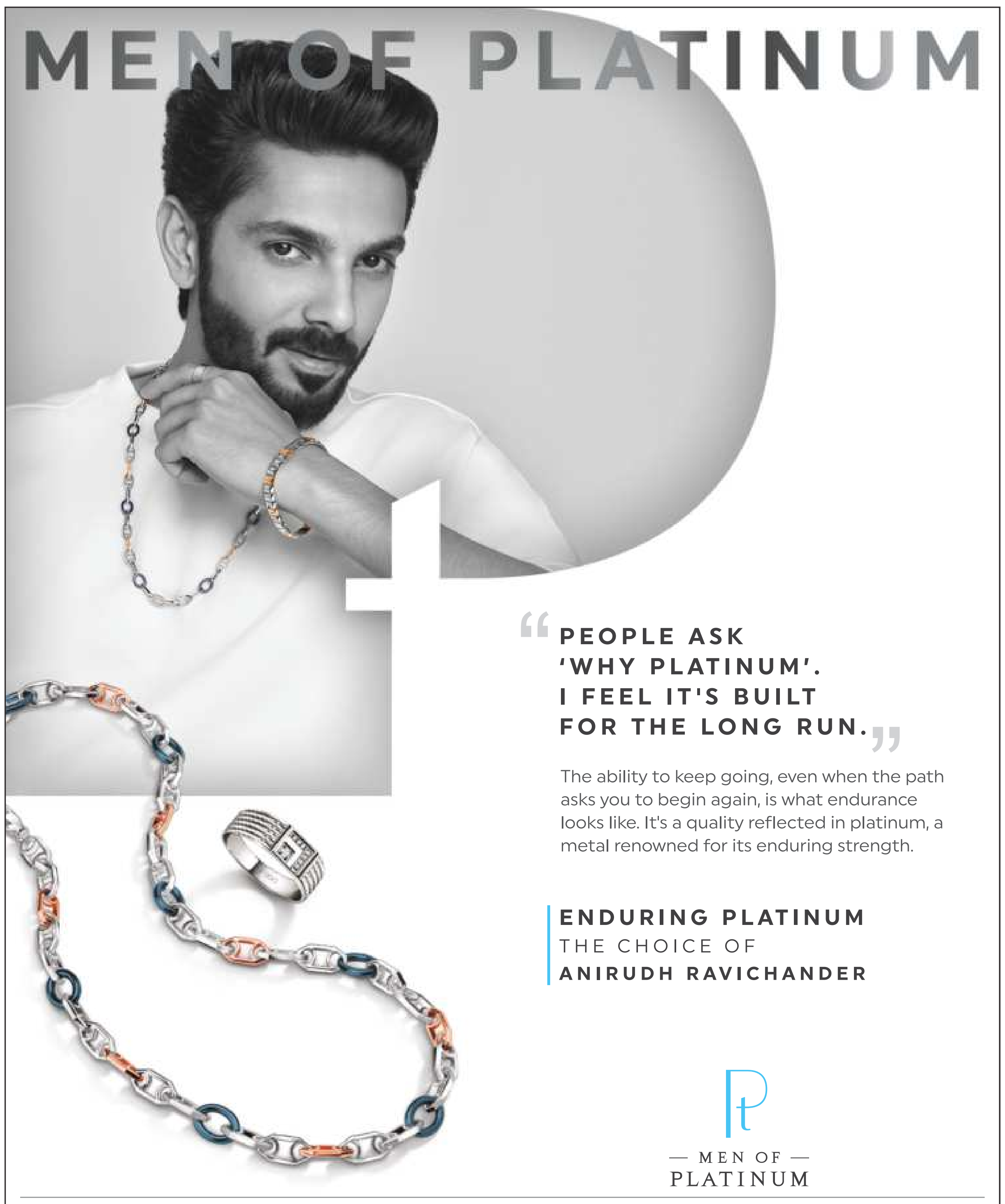
"The mood is quite negative, though it is not fully reflected in the Nifty because a few heavyweight stocks, particularly in IT and PSU banking, have held up the benchmark," he said.

Rising crude oil prices, inching towards $120 per barrel, inflation concerns, geopolitical risks and signs of slowing liquidity have all contributed to the cautious mood. While funds locked in recent IPOs may eventually return to secondary markets, marketmen believe the weakness cannot be explained by liquidity factors alone.

"When money becomes dearer, money will look at growth. It won't go to a market just for safety, they'll go for growth," said Dinshaw Irani, MD & CEO, Helios Capital Asset Management.

Meanwhile, drawing comparisons with 2019, the current conditions resemble a prolonged phase of consolidation rather than the beginning of a new structural uptrend.

Further downside cannot be ruled out despite markets trading near important support levels.



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ANIRUDH RAVICHANDER

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₹1,53,769 Cr. 25% Y-o-Y Loan Portfolio
₹21,810 Cr. 19% Y-o-Y Shareholders' Fund
₹12,374 Cr. 19% Y-o-Y Total Income
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AU Small Finance Bank Limited

(CIN: L36911RJ1996PLC011381)

Registered Office:- 19-A, Dhuleshwar Garden, Ajmer Road, Jaipur 302001, Rajasthan (INDIA) Tel : 0141-4110060, Website : www.au.bank.in, Email : investorrelations@aubank.in

Statement of Unaudited Financial Results for the quarter and half year ended September 30, 2026

(₹ in Lakhs)

S. No.	Particulars	Quarter ended September 30, 2026 (Unaudited)	Quarter ended September 30, 2025 (Unaudited)	Half year ended September 30, 2026 (Unaudited)	Previous year ended March 31, 2026 (Audited)
1	Total Income from Operations	6,38,198.97	5,22,386.55	12,37,394.76	21,61,427.76
2	Net Profit for the period (before Tax, Exceptional and Extraordinary items)	1,15,430.41	72,889.12	2,21,829.03	3,47,404.56
3	Net Profit for the period before tax (after Exceptional and Extraordinary items)	1,15,430.41	72,889.12	2,21,829.03	3,47,404.56
4	Net Profit for the period after tax (after Exceptional and Extraordinary items)	85,768.99	56,087.03	1,65,364.28	2,64,125.43
5	Total Comprehensive Income for the period {Comprising Profit / (Loss) for the period (after tax) and Other Comprehensive Income (after tax)}	Refer Note (ii)	Refer Note (ii)	Refer Note (ii)	Refer Note (ii)
6	Equity Share Capital	75,136.86	74,611.12	75,136.86	74,826.71
7	Reserves (excluding Revaluation Reserve) as shown in the Audited Balance sheet of the previous year	19,22,525.49*	16,42,175.12**	19,22,525.49*	19,22,525.49*
8	Securities Premium Account	5,73,291.23	5,40,899.20	5,73,291.23	5,54,034.57
9	Net worth (Refer Note iii)	21,12,236.23	17,93,647.20	21,12,236.23	19,62,694.85
10	Outstanding Debt	14,23,864.32	10,31,904.20	14,23,864.32	13,87,154.47
11	Outstanding Redeemable Preference Shares	-	-	-	-
12	Debt Equity Ratio (Refer Note iii)	0.31	0.26	0.31	0.31
13	Earnings Per Share (of ₹10/- each) (for continuing and discontinued operations) - {(before and after exceptional item) (not annualised)}				
	1. Basic (after exceptional item):	11.44	7.52	22.07	35.40
	2. Diluted (after exceptional item):	11.30	7.48	21.81	35.01
	3. Basic (before exceptional item):	11.44	7.52	22.07	35.40
	4. Diluted (before exceptional item):	11.30	7.48	21.81	35.01
14	Capital redemption reserve	-	-	-	-
15	Debenture redemption reserve	-	-	-	-

Notes:

* As at March 31, 2026 ** As at March 31, 2025

(i) The above is an extract of the detailed format of quarter & half year ended Financial Results filed with the Stock Exchanges under Regulation 33 & 52 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The full format of the quarter & half year ended Financial Results are available on the websites of the Stock Exchanges, www.nseindia.com and www.bseindia.com and of the Bank www.au.bank.in. The same can be accessed by scanning the QR code provide below.

(ii) Information related to the total comprehensive income and other comprehensive income are not furnished as Ind AS is not yet made applicable to Bank.

(iii) Information as required pursuant to Regulation 52(4) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 Methodology for computation of the ratios is as follows :

Debt-Equity Ratio	Represents the Borrowings with residual maturity of more than one year / Sum of Capital and Reserves & Surplus.
Net worth	Calculated as per the Directions issued by the RBI to Small Finance Banks on Concentration Risk Management

Date : October 24, 2026

For AU Small Finance Bank Limited
Sanjay Agarwal
Founder, MD and CEO

1800 1200 1200

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QUICKLY.

NMDC scouts for mining assets across 4 continents

New Delhi: From South America in the West to Australia in the East, State-owned iron ore giant NMDC is scouting for mining assets, including critical minerals, according to industry sources. They said that the PSU is exploring lithium, copper, cobalt and rare earth blocks in Chile (South America), Australia, Africa, Brazil and parts of Asia. It is also scouting for limestone mines, dolomite, coking coal and tungsten blocks in the UAE, Oman, Bhutan and Australia. PTI

HDFC Bank launches electric car loan

Mumbai: HDFC Bank has launched a flexi (green) electric car loan, offering differential loan proportions for the body and battery of the Electric Vehicle (EV). "The battery loan can be repaid over a longer term. This will allow the flexibility to customise the EMI outflow (differential loan tenor –curated outflow)," according to HDFC's statement. PTI

Tata Motors' €3.91-billion bid for Iveco faces make-or-break test today

CUTTING IT CLOSE. Just 35% of shares have been tendered at last count against 80% needed to clinch the deal

Amit Vijay Mohile
Mumbai

ROAD BUMP. Iveco has outlined over €76 m investments, while unions are seeking employment safeguards REUTERS

From Italy's industrial heartland to Mumbai's financial markets, Tata Motors' €3.91-billion pursuit of truckmaker Iveco faces its make-or-break test today, the scheduled final day for shareholders to tender their shares. Managing Director Girish Wagh is confident of crossing the required 80 per cent acceptance threshold, but activist investor Petrus Advisers is challenging the valuation, Italian Industry Minister Adolfo Urso is demanding industrial safeguards, and Indian brokerages remain divided over financial returns. The question is whether Tata can overcome these pressures and replicate its landmark Jaguar Land Rover success globally.

Only about 35 per cent of Iveco shares had been tendered as of October 22, leaving Tata dependent on a substantial last-minute surge.

"As is typically seen in tender offer processes, a significant proportion of shares tend to be tendered towards the very end of the acceptance period, particularly in the final 24-48 hours," Wagh told analysts. "We therefore remain confident of a successful completion of the acquisition." The combination would create a commercial-vehicle powerhouse spanning India, Europe and the Americas, with approximately €21 billion in annual revenue and sales exceeding 590,000 vehicles.

"Tata Motors has demonstrated through Jaguar Land Rover that it can acquire and turn around a global automotive business. Iveco presents a similar opportunity, but weak European demand, acquisition debt and integration costs pose significant risks. The challenge is whether Tata can replicate the JLR success without putting pressure on profitability and its balance sheet," said Kranti Bathini, Director–Equity Strategy at WealthMills Securities.

ITALY'S CONCERNS

Urso has pressed Tata to translate its commitments into a concrete industrial revival. Iveco has outlined investments exceeding €76 million across four Italian plants, while unions seek employment safeguards beyond two years and development plans for individual factories.

European truck makers also face sluggish demand, electrification expenditure, emissions-compliance costs and intensifying competition.

KEY NUMBER

Davidson Kempner, Syquant Capital, and Petrus Advisers collectively hold about 20.4 per cent of Iveco. If none tender, their combined holdings could prevent Tata from reaching 80 per cent. Petrus argues the offer undervalues Iveco, estimating fair value at approximately €18 per share, around 25 per cent above Tata's bid.

Tata secured the regulatory clearances required to launch the offer and increased its bid from €14.10 to €14.40 per share, a 2.1 per cent rise.

DALAL STREET DIVIDED

Indian brokerages are divided over the financial implications. Motilal Oswal has adopted a cautious stance amid uncertain European demand, financing requirements and limited visibility on returns.

ICICIdirect Research considers the additional acquisition cost manageable, calling the revision "primarily a strategic move."

Under India-Asean FTA, electronic goods makers turn to Vietnam for parts

FAVOURABLE TARIFF. Components such as displays and camera modules, and even Bluetooth earbuds, are imported from Vietnam at zero duty (file photo) MOHAMMED YOUSUF

S Ronendra Singh
New Delhi

Amid a nearly five-fold spike in memory chip prices over the past year, electronics manufacturers, especially smartphone and true wireless stereo (TWS) earbud makers, have increased imports from Vietnam, a trend that sources say is expected to accelerate this year.

Industry sources told *businessline* that, with import duties on most items from Vietnam at zero under the India-ASEAN Free Trade Agreement, companies have spent the past year taking advantage of the duty-free structure to bulk-import smartphone components and other electronics.

"Components such as displays and camera modules, and even Bluetooth earbuds, are imported from Vietnam at zero duty. Interestingly, most of these importers are Chinese companies with manufacturing or assembly units here," an industry veteran told *businessline*.

Supporting this, government data show that India's imports of electronics from Vietnam rose 9.5 per cent year-on-year (y-o-y) to $5,364.61 million in FY26, from around $4,896 million in FY25. In FY24, imports grew 16.1 per cent to $4,504 million, up from $3,879 million in FY23.

"The government is not earning any revenue either from the manufacturing of these items or through customs duties. In a way, this has become a rerouting of goods: instead of importing from China, companies are importing from Vietnam," he said, adding that such a trend could also affect the country's manufacturing policies.

PRACTICAL CHOICE

Without naming the companies, he said some were directly importing TWS earbuds from Vietnam because it was much cheaper than manufacturing them in India. Some had even set up manufacturing units in Vietnam instead of India, he noted.

"In India, setting up a display manufacturing unit under the mobile phone manufacturing scheme (MPMS) and the electronic components manufacturing scheme (ECMS) offers 4 per cent incentives. But if you can import the same product from Vietnam at zero duty, why would you set up a manufacturing unit here? Importing would offer much better margins," he explained.

Importing electronics from Vietnam to India involves preferential tariff rates under the ASEAN–India Trade in Goods Agreement. Provided the goods meet specific Rules of Origin and are accompanied by a valid Certificate of Origin, standard MFN tariffs — zero to 20 per cent — can be sidestepped, and the preferential tariff benefits availed.

India's 2029 rear-crash rule could cost OEMs ₹2,700 crore annually

Amit Vijay Mohile
Mumbai

ADDING COSTS. The rear-impact safety mandate could add approximately ₹2,700 crore annually to passenger-vehicle manufacturing costs

India's April 2029 rear-impact safety mandate could add approximately ₹2,700 crore annually to passenger-vehicle manufacturing costs, as automakers strengthen rear structures, fuel-system protection and electric-vehicle battery safeguards. Industry experts tracking this development told *businessline* that based on five million annual vehicle sales, they estimate additional costs of ₹5,000 per small car, ₹4,000 for conventional SUVs and sedans, and ₹15,000 for electric and hybrid vehicles.

"The ₹2,700-crore estimate is a useful indication of the potential industry-wide cost, but the actual burden will depend on how many platforms already meet the standard. Manufacturers with newer architectures and higher volumes may absorb the expenditure more easily, while entry-level models could face greater margin pressure," said a Pune-based automaker's production head. futher explained

The Ministry of Road Transport and Highways' notification S.O. 5723(E), dated October 19 and published October 21, applies AIS-101 Revision 1, as amended, to covered passenger vehicles from April 1, 2029.

MARGIN PRESSURE

Hatchbacks and compact sedans may require reinforced rear cross-members, stronger fuel-tank brackets, protective fuel-line shielding and revised filler-pipe routing. Rear floor panels could also need strengthening, automotive engineers indicated.

At an assumed 35 per cent market share, small cars would incur ₹875 crore annually. The estimated ₹5,000 per vehicle represents 0.83-1 per cent of a ₹5-6 lakh car's price. "The challenge is particularly significant for entry-level cars, where even a few thousand rupees of additional manufacturing cost can affect pricing," said the chief technology officer of a Delhi-based passenger-vehicle manufacturer.

Conventional SUVs and sedans may need redesigned rear longitudinal members, stronger chassis cross-members, reinforced fuel-tank supports and improved protection around fuel-system connections.

At an assumed 55 per cent market share, these vehicles would account for ₹1,100 crore annually.

BATTERY-PROTECTION

Electric vehicles may need reinforced battery enclosures, stronger mounting brackets, high-voltage cable shielding and redesigned connectors. Electrical isolation and automatic disconnection systems could also require modification, industry officials indicated.

Hybrids must additionally protect conventional fuel systems alongside high-voltage components. At an assumed combined 10 per cent market share, electric and hybrid vehicles could incur ₹750 crore annually.

"The biggest opportunity for parts suppliers will be in rear structural assemblies, fuel-tank protection and battery mounting systems. This could mean new tooling, higher-value components and additional validation work," said an industry analyst working with a leading Indian Tier-1 component manufacturer.

Poland's WB Group to invest $100 m in India for drone production

Dalip Singh
New Delhi

WB Group, Poland's largest private defence company, plans to invest $100 million over five years in India to establish manufacturing bases to supply different classes of battle-proven unmanned systems to the armed forces, Vice-President Adam Bartosiewicz told *businessline* in an exclusive interview.

The WB Group's drone has not only been used in Operation Sindoor but forms the mainstay of unmanned platforms Ukraine has been deploying in its 12-year-long fight against Russia. Bartosiewicz was in Delhi as part of a delegation accompanying Poland's Prime Minister Donald Tusk from October 21-23.

The investment will be channelled through its Indian joint venture, WB Electronics India Pvt Ltd, to establish manufacturing and R&D facilities, Bartosiewicz said. The company has acquired a space in the Uttar Pradesh Defence Industrial Corridor.

When asked about its industrial engagement plans, he said, "Our main goal is to somehow establish India as a drone champion, as we are in our part of Europe, based on the extensive experience that we have in applying our products in the Ukraine-Russia conflict," he said.

TESTED IN THE FIELD

"...In the conflict, we have supported the Ukrainian army since 2014. This means that no other company in the world has gathered that kind of experience over such a long period. We stopped counting our equipment's flight hours after one million. Based on this operational experience and the extensive feedback we received from the front lines, we have been able to develop great products. I think this would be a very good opportunity for India to achieve that level of combat readiness in the equipment it intends to procure in the future," he said.

On how the company plans to remain competitive in the Indian market, given the growing capabilities of domestic companies to offer quality unmanned systems amid the focus on the economics of war and battlefield sustainability, he said, "That is sort of our strategy to develop products that are superior in terms of technology and capabilities. We are also known for not being the cheapest, right?"

"Our products, in fact, have no direct comparison with the existing ones. That is why they are more expensive; developing that level of sophistication does not come cheap. It involves extensive engineering, very high-quality components, and, above all, extensive experience gained from war zones," he explained.

We will not rule out a scenario in which the product becomes fully Indian in a few years: WB Group V-P

bl.interview

Dalip Singh
New Delhi

Adam Bartosiewicz, Vice-President, WB Group, who was part of a delegation which accompanied Poland Prime Minister Donald Trust during his visit to New Delhi from last week, exclusively spoke to *businessline*, pitching that different classes of Ukraine-Russia battle-hardened drones that his company manufactures could give New Delhi a crucial shortcut to ultimate combat readiness.

Edited excerpts:

> I think the transfer of technology will start at around 40% and within a short time, this could rise to 60%
>
> **ADAM BARTOSIEWICZ**
> Vice-president, WB Group

India is pushing for localising the technology. How much of a percentage of the transfer of technology (ToT) are you willing to transfer because the cutoff is 60 per cent here under 'Make in India' category defence product?

As I said, core technology has value when production is established locally.

It can serve as a foundation for developing different drone variants and capabilities, including mission-specific payloads and the use of artificial intelligence. We could also help build on the indigenous capabilities that India has already demonstrated, acting as a catalyst for the further development of these technologies.

To begin with, we could be a valuable source of knowledge for the Indian Army, drawing on what we have learnt in Ukraine and the operational experience shared by the Ukrainian Army. In that sense, we could serve as a kind of drone academy for the Indian Army.

Can you quantify ToT in terms of a percentage which you are willing to offer?

I think it will start at around 40 per cent. Within a short time, this could rise to 60 per cent.

I would not rule out a scenario in which, within a few years, the product becomes entirely Indian. As I said, India is a very large market, and the country has big ambitions.

Are you participating in drone acquisition trials?

We would not like to discuss that particular aspect. However, to answer your question, it has been tested at higher altitudes. We have learnt lessons from ongoing conflicts and are sticking to our tactical parameters.

Your drone was used in Operation Sindoor and they continue to be deployed in the Russia-Ukraine conflict. Is there any operational difference between the two war theatres?

Of course, these are two different operating environments. Ukraine is mostly flat, and operations often require flights at low altitudes. India, by contrast, has a mix of environments, including very high mountains. For such applications, I think we have designed an ideal aircraft that is capable of flying at high altitudes. So, there is a payoff for us in designing the right aircraft.

Modi highlights exports, local products and deep-tech start-ups in *Mann Ki Baat*

Our Bureau
New Delhi

Prime Minister Narendra Modi on Sunday highlighted the economic potential of local products, agricultural value addition, traditional textiles and deep-tech innovation, citing examples ranging from Bihar's makhana exports to brain research and start-ups at IIT Madras.

In the 139th episode of his monthly radio programme *Mann Ki Baat*, which marked 12 years of the broadcast, Modi urged listeners to prioritise products made by local artisans during the festival season ahead of Diwali and Chhath.

He said, "makhana from Purnia in Bihar is now reaching Greece and arhar dal from Kalaburagi in Karnataka is being exported to the Maldives — new global markets are opening up for India's farmers."

PIONEERING WORK

Modi said he had recently inaugurated the Sudha Gopalakrishnan Brain Centre at IIT Madras. The centre is creating high-resolution digital 3D images of the human brain to map and study 100 human brains in minute detail using the Param Shakti supercomputer.

"This is the first mission of its kind in the world," he said, adding that the data would be made available as an open-source resource for research across fields.

Modi also said he met start-ups during the visit that are working on gold quality verification, faster recovery of money lost to bank fraud, and AI-assisted screening for cervical cancer.

Maharashtra's Shabari Naturals initiative, through which tribal communities market honey, mahua, chironji and bamboo-based items in packaging that reflects tribal art has received Japan's Good Design Award, he said.

On rural livelihoods, Nav-Trinjan, an initiative of Punjab's Kheti Virasat Mission that promotes organic cotton cultivation, has transformed the lives of many women with its weaving school.

The PM also highlighted the revival of millet cultivation in the Northeast. In Meghalaya's Khanduli village, two women friends developed millet-based cookies, cakes, muffins and baby food, which raised demand for the grain.

Ladakh leads the way as India's first fully organic Union Territory

Gulzar Bhat
Srinagar

Ladakh has become India's first fully organic Union Territory, Lieutenant Governor Vinai Kumar Saxena said on Sunday, marking a major step in the region's drive to eliminate chemical fertilisers, protect its fragile Himalayan ecosystem and promote sustainable agriculture.

In a post on X, Saxena credited farmers for the achievement, saying their dedication and hard work had made the milestone possible. He said the transition to organic farming reflected the administration's commitment to Prime Minister Narendra Modi's vision of chemical-free agriculture, environmental conservation and sustainable livelihoods. He added that the move will strengthen market linkages, improve farmers' incomes and establish Ladakh as a model for sustainable high-altitude agriculture.

The announcement follows a series of measures by the Union Territory administration to expand organic farming. In June, the administration banned the sale and use of chemical fertilisers, reinforcing its push to make agriculture across the region entirely organic. Before the latest announcement, 207 revenue villages had been brought under organic certification. Under the Mission Organic Development Initiative (MODI), launched in 2020, Ladakh aims to convert all 666 villages into certified organic hubs.

The ₹500-crore initiative includes support for bio-fertiliser production, seed distribution, protected cultivation and marketing of organic produce.

"The challenge now is to get better prices for our produce. Organic certification will be meaningful for farmers only if it helps us find better markets and increases our income," said Tashi, a local farmer.

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Saudi-Houthi conflict pushes crude near $120/bbl, India feeling the heat

SHOCK ABSORBER. Impact, however, may be cushioned by RBI's ₹2.87 lakh crore dividend and buoyant taxes

Shishir Sinha
New Delhi

With brent crude nearing $120 a barrel over escalating Saudi-Houthi tensions, Indian economy is set to face severe headwinds.

However, economists feel there are tailwinds too which could provide some comfort to government finance managers.

According to D K Srivastava, Chief Policy Advisor at EY India, given the ongoing crisis in West Asia, crude prices are likely to remain elevated in the range of $115 to $120 a barrel for some time.

ADVERSE IMPACT

This will have an adverse impact on real GDP growth whereas CPI inflation is likely to increase.

The RBI's projections for the second half of 2026-27 were based on a baseline crude price assumption of $95 a barrel.

PRICE WOES. There will be an impact on account of higher fuel prices as under-recoveries of oil marketing companies on petrol, diesel and LPG are set to go up, says India Ratings & Research

"A sustained increase by a margin of $20/bbl in global crude prices compared to the baseline assumption, for the remaining part of the fiscal year is likely to result in a marginally lower real GDP growth for 2026-27 from 7.1 per cent to 7 per cent, whereas CPI inflation is likely to be higher by a margin of about 0.5 per cent points, from 5.2 per cent to 5.7 per cent," he said.

Further, this implies that the increase in nominal GDP growth would increase whereas real GDP growth would be lower compared to RBI's October 2026 projections.

TAX REVENUES

"This will have a positive impact on government's tax revenues, if existing tax buoyancies are realised," he added.

Sunil Kumar Sinha, Professor of Economics at Institute for Development and Communication, estimated that possible increase in fertilizer subsidy can widen the 2026-27 fiscal deficit by 0.4-0.5 per cent of GDP.

However, there are channels that can cushion this impact.

BUMPER DIVIDEND

Firstly, the RBI has transferred a bumper dividend of ₹2.87 lakh crore.

Secondly, tax collections have been buoyant clocking a growth of nearly 13 per cent by mid-September 2026.

Thirdly, disinvestment and monetisation, which had mostly missed the budget targets in the past, is doing well this fiscal.

Close to 70 per cent of the full-year target has been realised by end August 2026. And lastly, the availability of ₹1 lakh crore economic stabilisation fund created specifically for absorbing global macroeconomic shocks.

"Therefore, fiscal deficit target of 4.3 per cent of GDP still appears achievable and if at all there is slippage then it will not go beyond 4.4-4.5 per cent of GDP," he said.

D K Pant, Chief Economist at India Ratings & Research was cautiously optimist.

"There will be an impact on account of higher fuel prices as under-recoveries of oil marketing companies on petrol, diesel and LPG are set to go up and then higher outgo on account of fertilizer subsidy. However, with tax receipts (barring central excise), non-tax revenue along with possible higher collection higher than BE from disinvestment and asset monetisation, overall fiscal arithmetic is unlikely to see significant relief," he said.

Severe cyclone threat looms over Bapatla-Vizag coast in AP

Vinson Kurian
Thiruvananthapuram

A brewing cyclone in the Bay of Bengal, expected to intensify as a severe cyclone, threatens to unleash a spell of extreme weather conditions across the South Peninsula, with isolated to extremely heavy rainfall exceeding 20 cm forecast over Tamil Nadu, Puducherry and Karaikal, and Kerala and Mahe.

Isolated to extremely heavy rains are also likely over coastal Andhra Pradesh and Yanam on Tuesday and Wednesday, and Telangana on Wednesday. Heavy rain is also expected in isolated places over Rayalaseema and Coastal Karnataka.

The bigger threat lies along the Andhra Pradesh coast, where the storm may make landfall by Wednesday. Squally weather, gale-force winds and rough to very rough seas are forecast over the western and central Bay of Bengal from Tuesday, with impact spilling over to Andhra Pradesh and adjoining Odisha coasts.

Sunday morning's parent depression intensified into a deep depression. It is likely to move west-northwest over east-central and adjoining west-central Bay and intensify into a severe cyclone over west-central Bay by Tuesday morning. Thereafter, it is very likely to move north-west, intensify further into a very severe cyclonic storm, and reach west-central Bay near Andhra Pradesh coast around Wednesday morning. It is likely to cross Andhra Pradesh and Yanam coasts between Bapatla and Visakhapatnam as a very severe cyclone with maximum sustained wind speed of 115-125 km/hour gusting to 140 km/hour by Tuesday midnight/Wednesday morning.

> **Squally weather, gale-force winds** and rough to very rough seas are forecast over the western and central Bay of Bengal from Tuesday

MOISTURE FEED

Meanwhile, a moisture-laden trough stretching across north coastal Tamil Nadu, linked to a low-pressure area over the south-east Arabian Sea and adjoining Lakshadweep, could provide an additional feed of moisture.

Govt cuts wheat quota even as millers rush to pay more

Prabhudatta Mishra
New Delhi

The government has reduced the overall wheat allocation for sales in weekly auction, to be held on October 28, by 5,000 tonnes to 1.01 lakh tonnes (lt), even as processors and millers have scrambled to buy the grain at over ₹3,100/quintal in many States when the all-India average wholesale price now stands at ₹2,910/quintal.

Millers have suggested to the government that it should progressively increase the quantity in the weekly auction since open market availability is stressed and millers are now dependent on Food Corporation of India (FCI) for supplies, according to sources.

WHEAT SHORTFALL

"It seems there is not as much wheat in the market as was earlier thought and hence, the millers wanted to buy as much as they could from the government auction," Dharmendra Jain, President of Roller Flour Millers' Federation of India told *businessline*.

In the bids floated by State offices of FCI in Assam, Odisha, Telangana, Andhra Pradesh, Karnataka, Rajasthan, Gujarat, Bihar and Kerala, the allocation for the latest round is about 11,900 tonnes lower than the auction held on October 21.

Millers in Assam, Karnataka and Telanga are wondering as to why the government cut their allocation despite maximum offtake, another source noted. For instance, out of 8,000 tonnes wheat offered in Assam in the last round, millers were successful in buying 7,940 tonnes. There is a total increase of 6,450 tonnes in Maharashtra, Chhattisgarh, Himachal Pradesh, West Bengal, Jharkhand, Tamil Nadu, Madhya Pradesh, Uttarakhand and Punjab from the quantity allocated on October 16.

Punjab has got maximum allocation of 25,000 tonnes against 23,000 tonnes in last round as there were 204 successful processors/millers who offered to buy wheat between ₹3,065/quintal and ₹2,861/quintal.

The allocations

	Quantity (tonne)		Successful bidders	Price (₹/quintal)	
	Tender	Allocation		Max	Min
Punjab	23,000	22,989	204	3,065	2,861
Haryana	12,000	11,700	71	2,990	2,900
Uttar Pradesh	8,000	7,989	53	*2,952	2,771
Karnataka	6,000	5,430	35	3,199	2,804
Madhya Pradesh	5,000	5,000	27	3,015	2,852
Rajasthan	4,500	4,490	65	3,116	2,921
West Bengal	3,000	3,000	15	2,960	2,929
Maharashtra	2,000	1,990	28	3,146	2,730
Bihar	1,500	1,300	11	2,879	2,806

Source: FCI's auction portal; *Vidhya Enterprises quoted highest ₹8,233 due to a typo

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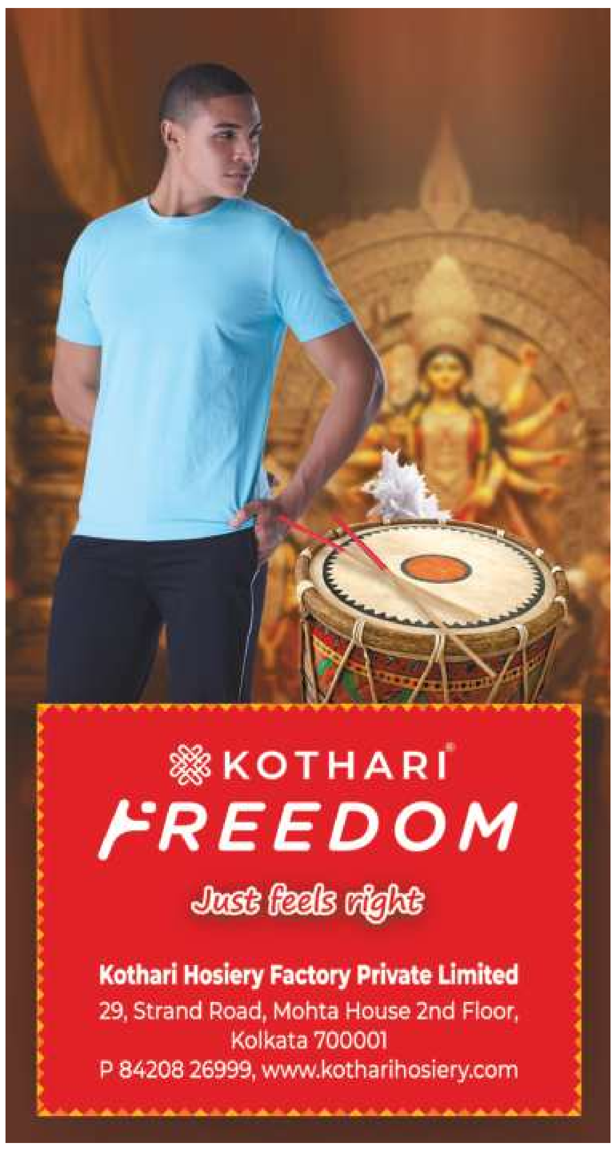

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TODAY'S PICK.

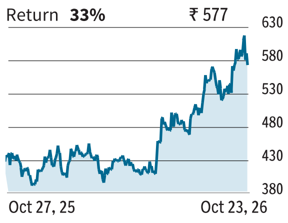
Leela Palaces Hotels & Resorts (₹577.70): BUY

Akhil Nallamuthu
bl. research bureau

The stock of Leela Palaces Hotels & Resorts has been rallying steadily since June. It established rally on the back of the support at ₹400. But after hitting a high of ₹649.80 recently, the price has now moderated to ₹577.70. This price drop is largely a correction decline. There are support levels ahead that can help the stock in resuming the uptrend. The rally is likely to restart from within the ₹560-575 price band and lift the stock to ₹670, possibly by the end of this year.

Traders can buy now at ₹577 and accumulate at ₹560. Place stop-loss at ₹540. When the scrip rises to ₹625 and ₹650, alter the stop-loss to ₹575 and ₹620 respectively. Book profits at ₹670.

Leela Palaces



Note: The recommendations are based on technical analysis. There is a risk of loss in trading.

Italian fashion retailer OVS betting big on India

Meenakshi Verma Ambwani
New Delhi

Italian fashion retailer OVS believes India could be a key international market as it plans to scale up its retail footprint in the country. The brand, which re-entered India in 2025, is looking to open 11 stores by 2028. On Friday, the company opened its largest store in Mumbai, its third store.

Sundeep Chugh, Managing Director, OVS India told *businessline*, "Our intent is to make India among the top international markets for the company in the span of the next 5-7 years. We aim to offer Italian fashion, which has a unique proposition, in its original avatar at a democratic pricing."

Talking about plans for retail expansion, Chugh said the company is focusing on opening larger format stores to offer "flagship-style retail experience" that feature the company's diverse portfolio.

The expansion roadmap includes key markets such as Delhi-NCR, Mumbai, Bengaluru, Chennai and Hyderabad. It will also have an online presence next year through its own brand site.

India, Russia to conduct pilot voyages on Northern Sea Route for quicker transport

Rishi Ranjan Kala
New Delhi

India and Russia are looking to leverage the Northern Sea Route (NSR) for faster transport of goods and hydrocarbons with the first pilot voyage being planned for 2027 — the 80th year of beginning of diplomatic relations between the two countries.

The development assumes significance considering the enhanced cooperation between India and Russia to expand the trade in crude oil, LNG, fertilizers and critical minerals notwithstanding attempts by the US to pressurise New Delhi from buying energy commodities from Moscow.

Kirill Komarov, Rosatom's First Deputy Director General for Corporate Development and International Business

Kirill Komarov, the First Deputy Director General for Corporate Development and International Business at Rosatom, said there is "strong interest" among Indian partners in the NSR.

"In 2024, a dedicated working group was established within the framework of the intergovernmental commission. Three meetings have been held, the latest on August 13 (2026) in Arkhangelsk, Russia. As a practical step, the latest working group meeting also agreed to organise a pilot voyage between Russian and Indian ports via the NSR in 2027," he told *businessline*.

Since 2018, Rosatom has been the infrastructure operator of the NSR.

The Russian nuclear behemoth is responsible for developing the passage, including building nuclear icebreakers, ensuring navigational and hydrographic support, maintaining maritime safety systems, organising shipping operations, and guaranteeing reliable navigation, including transit. Since the Arctic Ocean is covered in ice for most of the year, icebreakers are required for safe navigation. Russia is the only country with a nuclear-powered icebreaker fleet that is operated by Rosatom's subsidiary Atomflot.

MUTUALLY BENEFICIAL

Sources said that India-Russia cargo traffic can potentially reach 5 million tonnes annually via the NSR, and Rosatom is exploring possibilities for mutually beneficial cooperation in this area with Indian partners. According to a 2021 report by the Oxford Institute of Energy Studies, NSR is an important shortcut between Europe and Asia, providing significant distance and shipping time savings compared with the most often used shipping route from the Atlantic to Asia via the Suez Channel and Indian Ocean.

For Russian oil and gas companies, the NSR holds the promise of unlocking the reserves that have been stranded in the Arctic for many years.

REDUCED TRAVEL TIME

The NSR along with the Eastern Maritime Corridor can significantly reduce travel time between Chennai and Vladivostok (Russia's far east).

It will boost supply of coking coal, fertilizers, crude oil and LNG to India.

The NSR is part of the Trans-Arctic Transport Corridor, a multi-modal connectivity project, that aims to develop the Arctic zone of the Russian Federation and the Far East.

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Jio 2.0

Jio's challenge is to convert scale into sustained growth

Reliance Jio Platforms has rewritten India's IPO record book with its ₹30,213-crore public offering. It has surpassed Hyundai Motor India's ₹27,870-crore issue in 2024 to become the country's largest-ever IPO. The offering was also reported to be the first globally to cross the one-crore application mark. The numbers underline not just the extraordinary scale of Jio, but also the depth of investor appetite for India's digital growth story.

The offering, structured as an offer for sale, does not raise fresh capital for Jio. Its significance lies in putting a market value on one of India's most consequential digital businesses and giving public-market investors a direct stake in its future. More than a decade after Reliance disrupted telecom with rock-bottom tariffs and triggered a brutal shakeout, the industry has settled into a duopoly dominated by Jio and Bharti Airtel. Scale, network efficiencies and exploding data consumption have allowed Jio to build a profitable business.

However, as subscriber growth matures and public-market investors demand sustained earnings growth, Jio will face pressure to monetise its enormous customer bases. The regulator must guard against excessive or abrupt price increases in a market where meaningful alternatives for consumers are limited. The objective should not be to suppress returns, but to ensure that the consumer welfare gains prominence over investor interest. For Jio, however, the bigger question is what comes after subscriber-led growth. Its most valuable asset may increasingly be the network infrastructure and distribution platform it has already built. The next phase will depend on how effectively it can use that infrastructure across fixed broadband, enterprise connectivity, 5G applications, satellite communications and telecom network equipment.

The convergence of these businesses could expand Jio's market. Mobile connectivity, fixed broadband and satellite services could complement one another. There is, however, an important part of Reliance's digital strategy that sits outside Jio Platforms: Reliance Intelligence. This distinction matters because artificial intelligence is likely to define the next phase of the technology cycle. Reliance is building AI capabilities and infrastructure through the separate entity, including investments in computing and data-centre capacity. For investors, this creates an intriguing distinction. The Jio listing puts a market price on a vast telecom and digital-services platform, but the entire AI opportunity being developed within the Reliance group is not necessarily contained within Jio Platforms. The strategic question will be how the two businesses interact: Jio brings the network, customers and distribution; Reliance Intelligence is being positioned around the computing and AI opportunity. Jio's challenge is to turn scale, infrastructure and distribution into sustained growth — without sacrificing the affordability and competitive dynamism that made India's digital revolution possible.

OTHER VOICES.

讀賣新聞
THE YOMIURI SHIMBUN

Introduction of Nuclear-Powered Submarines

With more countries moving forward with the deployment of high-performance nuclear-powered submarines, Japan cannot avoid discussing the need of possessing such subs. However, there are many issues to be addressed, such as the funding and development of relevant personnel. The government and ruling parties should discuss this matter from a broad perspective. Prime Minister Sanae Takaichi has said in the Diet that the government would "deepen concrete and realistic consideration" for the introduction of nuclear-powered submarines. She indicated the intention to specify this issue as a topic for discussion in three key security documents that are to be revised by the end of the year. China possesses more than a dozen nuclear-powered submarines. TOKYO, OCTOBER 25

The Guardian

Europe's protests: the social contract has broken

France sneezed, and Europe has again caught the cold. The wave of unrest which began with teenagers at a high school soon drew in hundreds of thousands of people nationwide and then spread across the continent. Protests have filled the streets in Lisbon and Madrid, and have ignited into violence in Milan, Brussels and Tirana as well as in French cities. French authorities say they are deploying 70,000 officers on Saturday and are allowing only marches organised by unions. They blame hard-left militants as well as opportunistic young perpetrators for last weekend's destruction and looting, when a minority hijacked largely peaceful protests. LONDON, OCTOBER 23

SEBI needs to hear passive investor

MARKET MOVES. Passive funds are vital for funding long-term investment. The market regulator needs to create an enabling environment

V SHUNMUGAM

The Securities and Exchange Board of India (SEBI) recently issued a circular revising the Closing Auction Session (CAS). This comes 10 weeks after the auction went live on August 3 and follows a consultation paper published in September. The circular's message is simple: SEBI has listened to the derivatives market.

From December 7, expiring index and stock derivatives will settle at the Volume Weighted Average Price (VWAP) over the final 30 minutes of continuous trading, instead of the auction price.

Exchanges will publish the indicative index value live during that period, and futures and options will remain open until 3:45 p.m. For derivative players and Foreign Portfolio Investors (FPIs) bringing collateral into India to trade them, this means a steadier, more predictable settlement price.

The derivatives market has had its say. Now it's time to hear the passive investor's voice.

A passive fund doesn't aim to beat the market; it tracks an index. Each evening, it values its portfolio at the closing price, and whenever the index is rebalanced, it trades at the close.

For this kind of fund, the closing auction isn't just another trading session — it's where investors' money meets the market. With settlement now moved out, CAS can become what it was designed to be: the day's most trusted price.

This is where the auction ties into Viksit Bharat. A developed India by 2047 will need a deep pool of patient domestic capital. It can come from households shifting savings from gold and fixed deposits, as well as from pension funds investing over decades. An index fund is the simplest vehicle for both. Passive funds already account for 18.6 per cent of India's mutual fund assets, up from 9.8 per cent in 2021. The figure is 55 per cent in the United States and about 37 per cent in Japan. As India moves towards those levels, more money will need to trade at the close. This kind of patient capital steadies prices when foreign investors sell, lowers Indian companies' cost of capital, and funds the investment growth requires.

For that money to come in, the closing auction must be deep on both sides every day. Three steps can help.

THREE STEPS

The first is an imbalance-only order. When index funds all need to buy at the close, the auction can become sharply one-sided. Markets such as New York and Nasdaq address this with an order that trades only against the published imbalance, and only at or better than the auction price. It cannot move the price; it can only absorb the excess. This is a natural fit for derivative players. An arbitrageur can offset a buy imbalance in the auction and hedge the position in futures, which now remain open until 3:45 p.m. SEBI's timing change makes this order more useful. In turn, the derivatives market that SEBI has just accommodated can become the auction's shock absorber.

As the share of passive funds in mutual fund assets rise, more money will need to trade at the close. This kind of patient capital steadies prices when foreign investors sell, and lowers Indian companies' cost of capital

The second option is to build a stronger short side through the Securities Lending and Borrowing Mechanism (SLBM). An imbalance-only seller needs stock to sell, but most liquidity providers do not hold large inventories of every index stock. They therefore need to borrow shares. India's lending market remains small compared with its cash and derivatives markets. Wider access for lenders such as mutual funds and insurers, simpler tax treatment of lending fees, and longer lending tenures would enable sellers to participate in the auction whenever buyers crowd in.

The third is a fresh look at the Securities Transaction Tax (STT). At 0.1 per cent per side, it taxes turnover rather than profit. An index fund rebalancing earns nothing from the trade but pays twice. An arbitrageur, short seller or market maker who absorbs an imbalance earns a few basis points yet pays 20. When the tax exceeds the reward, liquidity providers stay away. Imbalances then widen, closing prices drift, and savers bear the cost.

For a liquidity provider, if permitted, the math is even more stark. Absorbing an imbalance earns a thin margin — often just a few basis points — while a 20-basis-point round-trip STT can erase it. The provider then stays away, leaving the auction without the counterparty it needs.

The logic behind STT also deserves a closer look. Introduced in 2004, it replaced the tax on long-term capital gains from listed shares, which were exempted at the same time. That exemption ended in 2018, and long-term gains are taxed again today. The original rationale for STT — a simple levy in place of a capital gains tax — therefore no longer applies to delivery trades. Investors now pay both. A significant reduction, or an exemption for trades executed in the closing auction by index funds and registered liquidity providers, would restore balance. The revenue forgone would be small, while the gains in market depth, fairer closing prices, and lower costs for savers would be substantial.

Taken together, these steps would complete what the recent circular set in motion. SEBI has brought greater clarity to derivatives settlement. An imbalance-only order, a deeper lending market, and lighter STT would give passive investors a deeper close.

The closing price is the one price shared by every investor in India. As passive money grows, it will carry the savings of a nation aiming to become developed by 2047. It deserves an auction designed for that future.

The writer is Partner, MCQube

Questions arising out of PHP breach

For robust cybersecurity and prevention of breaches, investment in detection, containment and recovery is crucial

Abhay Karandikar
Debjani Ghosh

For years, cybersecurity has been focused on keeping attackers out. Organisations believed that stronger firewalls, timely patching, employee training and better defence solutions would suffice. AI is changing that assumption. By reducing the expertise, cost and time needed for sophisticated attacks, AI is changing both the scale of cyber risk and the speed at which it unfolds.

Prevention remains a must do. But it's no longer enough. We must assume that some breaches will occur, and build the ability to detect, contain and recover before they become crises.

The warning signs are already visible. Recently researchers using frontier AI models uncovered critical vulnerabilities in PHP, a language used by a large share of websites. Palo Alto Networks identified over 22 million of potentially exposed instances. Even more concerning, the company estimates that while some vulnerabilities can be weaponised within 24 hours, organisations take an average of 55 days to fix them. AI is making this already dangerous gap even wider.

Financial services illustrate how the threat is expanding. Major US banks, including JP Morgan, Bank of America and Wells Fargo, detected third-party AI agents accessing customer accounts using credentials customers had shared. These were not necessarily hacks, but they exposed a far bigger problem- how does a bank distinguish between an action authorised by a customer and one independently initiated by an AI agent?

Unfortunately, we are only beginning to understand the implications. Our cybersecurity systems were largely designed around human users. They were not designed for autonomous digital actors capable of making decisions and taking actions on our behalf.

THE THREATS

Consider what this could mean for large digital payments ecosystem. AI agents could potentially coordinate thousands of mule accounts, move stolen funds across institutions and continuously adjust transaction patterns to evade detection. Traditional fraud systems often examine individual accounts or transactions. But what happens when fraud is intelligently orchestrated across an entire network?

Or consider AI-assisted malware on smartphones that can imitate legitimate user behaviour, manipulate payment applications and adapt to security checks. As these capabilities evolve, static rules and conventional fraud-detection systems will become increasingly inadequate.

These are emerging risks, not necessarily threats already operating at scale. But waiting for them to become widespread before preparing would be a serious mistake.

Three structural changes make this particularly concerning. First, economics largely favour attackers. They only need to find one exploitable weakness. Defenders have to protect thousands of interconnected systems, applications and interfaces.

AI. 'Assume breach' approach GETTY IMAGES

Second, response windows are shrinking as automated attacks outpace periodic audits and manual intervention.

Third, cyber risk is becoming increasingly systematic. India has built one of the world's most sophisticated, interoperable digital payments ecosystems. But interconnectedness also creates shared vulnerabilities. An attack on a common technology provider, payment infrastructure or critical service could potentially disrupt multiple institutions simultaneously. Legacy systems and delayed upgrades compound these risks.

So, what needs to change?

"Assume breach" must become an operating principle. This means investing as seriously in detection, containment and recovery as we do in prevention.

In finance, detection needs to move beyond individual transactions to identify coordinated patterns across accounts, devices, merchants and institutions. No single bank has visibility into the entire network. Secure, privacy-protecting intelligence sharing will therefore be essential.

And as AI agents enter business processes and customer interactions, we need to reimagine our approach to permissions, accountability and control. An agent should never have unlimited authority simply because it has access to a legitimate user's credentials.

Boards, too, need to ask different questions. Not just how much we are spending on cybersecurity, but how quickly we can detect a breach, contain the damage, sustain essential operations and recover.

For governments, cybersecurity is now inseparable from economic resilience and national security. As banking, telecommunications, energy, healthcare and public services become increasingly interconnected, stronger coordination across regulators, institutions and critical infrastructure operators is essential.

Last, but not the least, we must use AI aggressively to strengthen our own defensive capabilities. In the PHP case, AI also helped defenders identify critical weaknesses and coordinate protections before public disclosure. The same technology that empowers attackers can help us discover vulnerabilities earlier and respond at machine speed.

Karandikar is Member, NITI Aayog; Ghosh is Distinguished Fellow, NITI Aayog

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◉ LETTERS TO EDITOR

Send your letters by email to bleditor@thehindu.co.in or by post to 'Letters to the Editor', The Hindu Business Line, Kasturi Buildings, 859-860, Anna Salai, Chennai 600002.

Bond issues

Investing in high-risk financial instruments should never become a magic trick where losses vanish and guaranteed profits appear ('Yes, it's a mess', October 24, 2026). The Supreme Court's decision to revive the written-off bonds of YES Bank raises a troubling question about fairness. These instruments are designed with a simple rule: higher returns come with higher risks.

When investors willingly accept this gamble for greater profit, they cannot expect the courts to rescue them when the market turns sour.

By reversing the write-off, we risk creating a dangerous precedent where financial responsibility is simply brushed aside. The banking regulator certainly made errors in its haste to save the bank. But the solution is to fix future oversight, not to rewrite the basic rules of finance.

A fair system must uphold both accountability and market discipline, ensuring that nobody gets a free lunch at the expense of the system's integrity.

K. Chidanand Kumar
Bengaluru

Climate challenges

The United Nations Environment Programme's *Emissions Gap Report 2026* delivers a sobering message: the Paris Climate Pact's goal of limiting global warming to 1.5°C above pre-industrial levels is slipping out of reach in the near term. The yawning gap between projected emission reductions and countries' climate action pledges exposes the inadequacy of existing commitments.

While the report envisages futuristic technologies such as carbon storage, their costs and practical viability remain uncertain. Nevertheless, the remarkable expansion of solar and wind energy over the past decade demonstrates that meaningful progress is possible with political will and sustained investment.

Equally troubling is the inadequacy of the Loss and Damage Fund, formalised three years ago, highlighted by its failure to assist Nepal following the August floods.

As delegates prepare for the next Conference of the Parties (CoP), they must move beyond rhetoric and make binding commitments backed by adequate finance. The planet cannot afford another round of empty promises.

M. Jeyaram
Sholavandan (TN)

Empowering voters

Apropos 'Supreme Court says voters can prosecute poll candidates for false, concealing details' (October 24), the SC's ruling, through voters, allowing prosecution of candidates for false or concealed disclosures strengthens electoral transparency.

Mandatory affidavits empower voters to scrutinise candidates' backgrounds, including criminal records.

Misrepresentation can be challenged at the nomination stage through legal means. This promotes accountability and helps safeguard electoral integrity.

PV Prakash
Mumbai

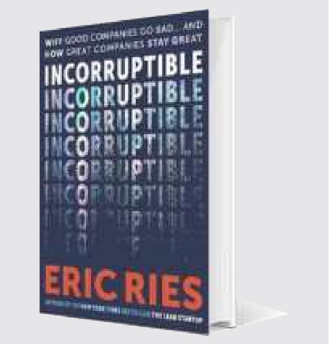
Published by Nirmala Lakshman at No 19&21, Bhagwan Mahaveer Road, Bengaluru-560001 and Printed by C. Sridhar at Plot No. 13-D, Bommasandra-Jigani Link Road, KIADB Industrial Area, Bommasandra, Anekal Taluk, Bengaluru -560099 on behalf of THG PUBLISHING PVT LTD., Chennai-600002. Editor: Raghuvir Srinivasan (Editor responsible for selection of news under the PRP Act). ISSN 0971 - 7528

The invisible blueprint

A must-read for those building durable businesses

BOOK REVIEW.

Sudhirendar Sharma



Title: Incorruptible
Author: Eric Ries
Publisher: Penguin RandomHouse
Price: ₹1299

Incorruptible is an enticing term. The incapability of being bribed or being morally compromised has to be admired, more so at a time when corruption has gained new ground. Even companies founded on strong ideals drift into short-termism and outcome driven behaviour that may seem unprincipled.

Over the last two decades, Eric Ries's ideas about innovation and long-term thinking have made companies build new management practices. As the creator of the Lean Startup: the idea of creating a Long Term Stock Exchange, Ries offers a bracingly practical vision of how companies can stay true and still win, and where the longevity of companies and investments gets measured in years and not weeks.

VALUES AND PATHS

Full of compelling case studies and careful implementation details, the book unfolds in three distinct parts: *The Shape of the Abyss* explores why even well-intentioned companies end up betraying their promises; *Escape Velocity* provides the specific tools that make corruption not just difficult but impossible; and finally *To Bend the Light* shows how the organisations reshape entire industries around their values and paths. The reason to take the book seriously is not that Ries has discovered a pure way out of corruption but has found that durable institutions alter the field around them.

Incorruptible is a must-read for those involved in building durable businesses, or trying to do something good within the capitalist system. It gives a clear account of why companies fail to deliver on the good intentions they had at their founding, and a brilliant toolkit for anyone hoping to build something enduringly positive. It's extremely well researched, engagingly written and has many examples of mission-driven companies that show how things can be done better.

One recalls the 1959 invention by engineer Nils Bohlin of the three-point safety belt, that is the same kind of seat belt we still use today. Volvo could have kept this patented innovation for itself but open-sourced the patent so that other companies could use it for free. Volvo's seat belt story is often retold in business circles but nobody ever tells it from the investors' point of view. Did the decision spark a battle? Did financial projections show the company was walking away from millions in licensing fees?

But the Volvo CEO saw something that others couldn't. When he became CEO in 1956, Volvo sold 31,000 cars annually; by his retirement in 1971, that number had grown to 214,000 (nearly four times faster than the auto industry during the same period). The CEO's decision was vindicated. Numbers apart, the company 'gave away' its most valuable patented innovation. And yet Volvo grew its brand, its influence, and visibility. Studies have shown that three-point belts reduced serious injuries by over 50 per cent.

Ries' book is not just about visionary founders but about idealistic cultures. It's not merely about creative governance structures that holds the majority vote. It's all of those, integrated and inseparable from what the company offers its non-shareholder stakeholders and its competitive advantage.

Incorruptible is the practical guide to keep a company mission driven as it scales. It shows how leaders create breakthrough business models, cultures and governance to ensure that their mission endures. It offers a compelling vision for a future built by businesses that exist to serve rather than extract. The book shares stories of companies that are able to resist the temptation to plunder their customers and betray their trust in the name of profit. Reis shows us how to build a mission-driven company that makes piles of money by staying both humane and ethical.

The reviewer is a writer, researcher and academic

Next stage for Indian start-ups

A book that examines whether India can move from producing successful start-ups to building globally competitive firms

BOOK REVIEW.

Lloyd Mathias

India's start-up story has reached an interesting stage. We have celebrated unicorns, applauded record valuations and watched founders become household names. But can India move from producing successful start-ups to building globally competitive companies that transform its economy?

In *The Lift-Off Nation: Why We Are Entering the Golden Age of Indian Startups*, Rajan Anandan and Saurabh Srivastava make a compelling case that the answer could well be yes. Their argument is not simply that India has more entrepreneurs or investors than ever before. It is that several forces are coming together to create an opportunity that the country has never quite experienced before.

There could hardly have been two better people to write this book. Saurabh Srivastava helped build the institutional foundations of Indian entrepreneurship through NASSCOM, TiE and the Indian Angel Network. Rajan Anandan, having led Google, Microsoft and Dell in India and subsequently backed start-ups as an investor.

FIVE FORCES

The central thesis rests on five developments: better-trained entrepreneurs, opportunities across new sectors, growing global ambition, greater access to capital, and a government that has helped create a more supportive environment.

The first is significant — India's early start-up founders often had to learn everything from scratch. Today's entrepreneurs can learn from people who have already built and scaled companies such as Flipkart, InMobi and Freshworks. These businesses have done more than create shareholder value. They have trained talent, developed managerial capabilities and produced a generation of people who understand what it takes to build a company.

In other words, India's start-up ecosystem is beginning to reproduce its own talent and experience. That is a far more sustainable advantage than a temporary surge in venture capital.

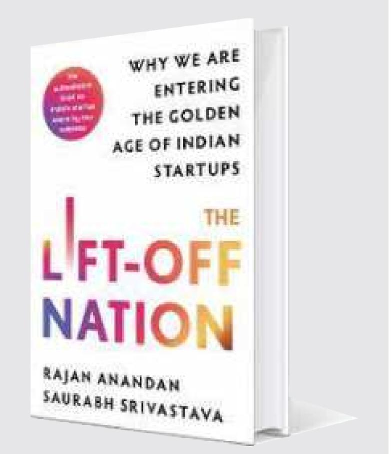
The second shift is the widening range of opportunities. India's start-up story was once dominated by consumer internet businesses, online marketplaces and digital payments. Today, the possibilities extend to healthcare, financial services, artificial intelligence, space, semiconductors, defence and advanced manufacturing.

The third change is ambition. Indian founders are increasingly thinking globally from the outset rather than treating international expansion as a future aspiration. The authors cite evidence that around 40 per cent of new seed-funded start-ups in 2025 were targeting global markets from day one.

The other two forces complete the picture. Venture funding has grown substantially, while public markets increasingly offer a potential exit route for investors and founders. Meanwhile, digital public infrastructure such as Aadhaar and UPI has reduced friction and enabled businesses to reach customers at a scale that would once have been difficult to imagine.

Together, these developments suggest that India's advantage is no longer just its large domestic market. It is the combination of talent, technology, capital and infrastructure that makes new business models possible.

One of the book's strengths is that it looks beyond individual success stories to examine what makes an ecosystem work. Three lessons stand out.



Title: The Lift-Off Nation: Why we are entering the golden age of Indian startups
Authors: Rajan Anandan and Saurabh Srivastava
Publisher: Juggernaut
Price: ₹1099

First, successful start-ups create the foundations for the next generation. The value of companies such as Flipkart and Freshworks extends beyond their own businesses. They produce experienced founders, managers and employees who can go on to build new ventures.

Second, capital is necessary, but capability is what sustains growth. Funding can help a promising business scale, but it cannot substitute for sound execution, a strong product or a genuine customer need. The real test is whether Indian start-ups can build enduring businesses rather than chase valuations.

Third, India must become a producer of innovation, not merely a consumer of technology. The opportunity in deep tech, AI and advanced manufacturing is especially important.

My one reservation is that the book could have gone deeper into the question of what might prevent this golden age from becoming a lasting reality.

The authors acknowledge India's shortcomings in research and development, regulatory predictability and the ease of doing business. But these challenges deserve even greater attention. India's R&D spending remains low by the standards of leading innovation economies. Access to risk capital is also uneven, particularly for companies pursuing deep technology, where development cycles are long and returns uncertain.

Equally, a thriving start-up ecosystem must create opportunities beyond a relatively small circle of well-funded founders and major metropolitan centres. How do we encourage more entrepreneurs from smaller cities? How do we make failure less financially and socially punishing? And how do we ensure that innovation creates productive employment and economic value, rather than simply producing a handful of spectacular wealth-creation stories?

A sharper exploration of these questions would have made an already persuasive book even more useful to policymakers, investors and aspiring entrepreneurs.

The book's optimism is grounded in the structural changes taking place around us. India has the talent, market opportunity, digital infrastructure and growing pool of experienced founders to build globally significant businesses. The next challenge is to convert these advantages into sustained innovation, stronger institutions and companies that can compete with the best in the world.

The reviewer is an Angel Investor and an Independent Director

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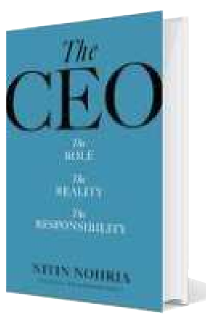
NEW READS.

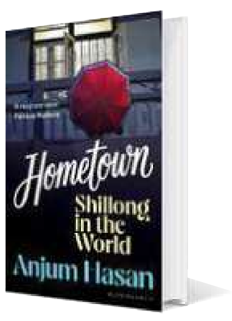


Title: The CEO: The Role, the Reality, the Responsibility

Author: Nitin Nohria

Publisher: Harvard Business Review Press

Drawing on decades of research, teaching, and firsthand work, Nitin Nohria pulls back the curtain on what it truly means to lead

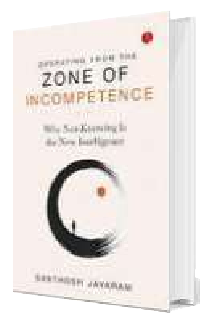


Title: Hometown: Shillong in the World

Author: Anjum Hasan

Publisher: Bloomsbury

Drawing on detailed personal testimonies, scholarship and autobiography, Hometown brings alive Shillong's unique character



Title: Operating from the Zone of Incompetence

Author: Santhosh Jayaram

Publisher: Rupa Publications

Santhosh Jayaram challenges the comforting belief that expertise is a destination

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thehindu businessline.

TWENTY YEARS AGO TODAY.

October 26, 2006

Fire at Reliance refinery complex at Jamnagar

Reliance Industries received a jolt on Wednesday morning when a fire at its Jamnagar complex led to a shut-down of some of its units and seriously injured one of its employees. The fire which broke out at 10.40 a.m. was brought under control by Reliance Plant and Fire Fighting Personnel in less than two hours, said a statement from the company.

ONGC to hold 50% equity in Tripura power project

ONGC is set to play a dominant role in 750-MW gas based power project in Tripura. The company has been asked to implement the project through a single SPV for both generation and transmission where the oil and gas major will hold a 50 per cent stake. With this development, the project has undergone a change for the third time since 2005. Initially, the project was to be implemented through two SPVs.

Hero Honda Q2 net down 9.2%

Hero Honda Motors Ltd has posted a 9.2 per cent drop in quarterly net profit as it faced rising costs and intense competition from rival Bajaj Auto Ltd. Its net profit stood at Rs 216 crore in the second quarter of the current year as against Rs 238 crore in the same period last year.

Short take

Does a company have a guilty mind?

Aditya Mukherjee
Krishna Tangirala
Naman Kumar

There is an old English saying about corporations — they have no soul to damn and no body to kick. The enforcement of criminal punishments against corporations has raised significant questions relating to implementation.

Two such questions which have invited debate is whether corporations can be held liable for criminal offences requiring *mens rea*, i.e., a guilty state of mind, and if so, how. The former has generated significant judicial debate over the last three decades and the dust appears to have settled, with courts across the country largely agreeing that corporations can be held liable for criminal offences, even those requiring *mens rea*. The second question however, has remained one that vexes courts and companies alike, with the Supreme Court finally seeking to bring a quietus to the issue in its recent decision in *Sanofi India Ltd. v. CBI*. While discussing how corporations can be held criminally liable for their actions (given that companies are juristic persons, as opposed to natural persons), Indian courts have consistently held that the actions of persons who can be said to be 'the directing mind and will' or 'alter-ego' of such corporations may be attributed to such corporations, as being the actions of such corporations themselves. This unfortunately, still left open the question as to 'who could be said to be such directing mind and will' of the corporation.

The Supreme Court has in *Sanofi*, sought to answer this question, and has laid down a three-fold test to determine 'who could be said to be such directing mind and will' of the corporation. These are — First, do the company's constitutional documents vest the relevant power in the person concerned? Second, if not, whether the power delegated to such person could be exercised with enough discretion and independence? Third, if the first two tests fail, does the purpose of the relevant statute require a special rule of attribution, whereby the company becomes bound by the actions of the concerned individual? As is evident, the framework laid down by the Supreme Court is not confined to directors or persons formally in charge, and instead extends to anyone acting on behalf of such a corporation. Now, corporations would be required to be more mindful in preparing their constitutional documents and delegations of authority matrices for specific matters, given that such documents would be the first point of inquiry to determine whether an officer's wrongdoing can be attributed to the company. This decision may also serve as a nudge for legislative clarity on the issue of corporate criminal liability.

The writers are with Shardul Mangaldass and Co

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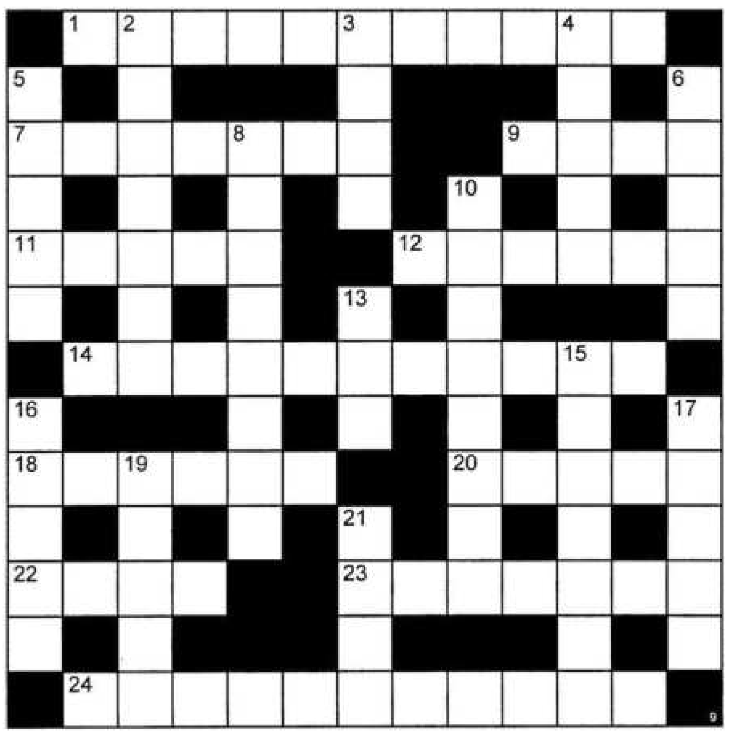

EASY

ACROSS
01. Getting of money from the public (4-7)
07. Vehicle, engine (7)
09. Set, or go, obliquely (4)
11. Small inlets (5)
12. Load carried (6)
14. Profusion, extravagance (11)
18. The feeding and stabling of horses (6)
20. State of wedlock (5)
22. The written words of a book (4)
23. A sportsman (7)
24. Microscopic animals (11)

DOWN
02. Take off the top (7)
03. Point, summit (4)
04. Unclothed (5)
05. To chastise (5)
06. To show off (5)
08. Those within an organisation (8)
10. Leave of absence (8)
13. How old one is (3)
15. A galley with three banks of oars (7)
16. Textile, material (5)
17. Treat contemptuously (5)
19. A she-fox (5)
21. To tumble (4)

NOT SO EASY

ACROSS
01. Is daring to change after amusement of getting money for the cause (4-7)
07. It works, having given me chain to put out (7)
09. Go obliquely south to the Botanical Gardens (4)
11. The chaps one finds along the coast (5)
12. Refrain from having to carry such a load (6)
14. The extravagance I'd pay girl to sort out (11)
18. The uniform of a person's servants made him irritable (6)
20. Students' club at university in no different guise (5)
22. The written word may be one's subject for a sermon (4)
23. A runner may be allowed in mixed heat (7)
24. Can use a mill to sort out such microscopic creatures (11)

DOWN
02. Reveal what gives the peacemakers insurance (7)
03. Ex-pat can't quite make the topmost point (4)
04. Dane could have held king, having nothing on (5)
05. This could give one a flavour of chastisement (5)
06. Be so boastful, one could ask the Northwest for change (5)
08. They may have privileged information about one in dress (8)
10. Leave one's mink on a lake in Ireland (8)
13. Get older part in Aida, generally (3)
15. A galley might get to retire around start of Millennium (7)
16. A Fate who didn't finish the material (5)
17. Sound contemptuous at being seen around with rebel leader (5)
19. She's an animal next to be curtailed, turning up after six (5)
21. Become enamoured of Autumn in America (4)

SOLUTION: BL TWO-WAY CROSSWORD 2762

ACROSS 1. Deposit 5. Depot 8. Evident 9. Panel 10. Defection 12. Duo 13. Nerve 17. Kip 19. Overtaken 21. Larva 22. Misform 24. Yeast 25. Tactful

DOWN 1. Dreads 2. Painful 3. She 4. Tutti 5. Dependent 6. Pined 7. Tallow 11. Consonant 14. Rake-off 15. Skilly 16. Animal 18. Parka 20. Emmet 23. Sec

BENGALURU
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MONDAY - OCTOBER 26 - 2026

◉ **DEMAND SHOCK**

RIGHT BALANCE. The Indian grid operates at a nominal frequency of 50 Hz ISTOCK

The rising worry over falling grid frequency

M Ramesh

India's grid frequency is spending too much time outside the prescribed operating band. While this in itself is not evidence of an imminent grid collapse, it is a red flag: the system is finding it harder to keep the balance between electricity supply and consumption within the prescribed limits.

The Indian grid operates at a nominal frequency of 50 Hz. The Indian Electricity Grid Code (IEGC) prescribes an operating band of 49.9–50.05 Hz. The asymmetry reflects the decision to retain a wider lower limit after stakeholders argued before the Central Electricity Regulatory Commission that a tighter limit would be difficult to maintain.

Grid-India's data show that in September, frequency remained within the IEGC band for only 68.81 per cent of the time, down from 77.14 per cent in August and 78.33 per cent in September 2025. It was below 49.9 Hz for 15.68 per cent of the month and above 50.05 Hz for 15.51 per cent.

Daily frequency profiles for October show no clear improvement. On October 21, for instance, frequency was outside the prescribed band for a total of five hours and 43 minutes. At 4.56 pm, instantaneous frequency fell to 49.485 Hz.

The first stage of under-frequency load shedding is designed to operate at 49.4 Hz, when designated feeders would disconnect automatically. The October 21 minimum remained above that threshold, but the episode illustrates why frequency deviations deserve attention.

Falling frequency generally indicates that demand exceeds generation; rising frequency points to the opposite. Sustained or repeated deviations leave the system with less room to absorb a further shock, such as a generating unit tripping or demand rising unexpectedly.

The answer, in part, is storage — a solution increasingly recognised in policy and practice. The Green Energy Corridor-III scheme, for example, provides ₹6,000 crore to support 50 GWh of battery energy storage systems (BESS), with renewable energy ministerPralhad Joshi describing it as the "world's largest subsidy for renewable energy". States are also increasingly pairing battery storage with renewable energy projects.

But while India builds storage, the immediate question is how to manage frequency deviations and protect the grid when balancing resources are stretched.

SR Narasimhan, former chairman and managing director of Grid-India, argues that the "system operator at the wheel should not become an easy fall guy" — namely operators should be able to take necessary emergency action, including load shedding, without being unfairly blamed for it.

He wrote in a LinkedIn post that as we navigate energy transition and weather-related uncertainties, instances of high stress on account of resource adequacy issues as well as high RE curtailments due to flexibility constraints would be common. The challenge, he said, is to forecast accurately and ensure adequate flexible resources. He added that this is a collective responsibility of all stakeholders.

Responding to Narasimhan, Ramesh Muthya, a veteran of the wind industry, stressed that renewable energy generators should be compensated when their output is curtailed. Unlike coal-based generators operating under two-part tariffs, he argued, renewable generators do not generally receive a separate fixed-cost payment to cover capital costs when they are unable to generate.

The two arguments highlight different sides of the same challenge.

◉ **TEPID RESPONSE**

Dull battery cell manufacturing a blot on India's renewable energy growth story

SPENT ENERGY. An ₹18,100-crore scheme to build 50 GWh of advanced chemistry cell capacity has barely inched forward five years on

M Ramesh

India's efforts to build a domestic battery cell manufacturing industry have not gathered pace more than five years after an ₹18,100-crore incentive scheme was launched to establish 50 GWh of advanced chemistry cell (ACC) capacity.

The production-linked incentive (PLI) scheme was designed to reduce import dependence by incentivising large-scale manufacturing and domestic value-addition. The selected manufacturers were required to achieve at least 25 per cent domestic value-addition initially, rising to 60 per cent over five years.

Of the targeted 50 GWh manufacturing capacity, 40 GWh was awarded in two rounds to four beneficiaries: Ola Cell Technologies; Reliance New Energy Battery Storage; Reliance New Energy Battery; and ACC Energy Storage (Rajesh Exports). The remaining 10 GWh capacity was later put up for fresh bidding. The second allocation of 10 GWh to Reliance in 2024 did not help meet the programme's capacity target, prompting another tender.

Progress, however, has been slow. In February, the Ministry of Heavy Industries said only 1 GWh of the 40 GWh awarded had been installed, at Ola's facility in Krishnagiri, Tamil Nadu.

The plant began pilot production in March 2024 and was working towards stabilising operations for commercial production. No beneficiary had claimed an incentive under the scheme, according to the ministry's reply to Parliament.

BUILDING FROM SCRATCH. Cell manufacturing is one of the most technically complex industries ISTOCK

The issue needs to be understood within a context, says Ankur Khaitan, MD and CEO, TACC Ltd, a subsidiary of HEG Advanced Materials, which develops carbon and graphite products for energy storage and industrial applications. "Cell manufacturing is one of the most technically complex industries, and India is building it from scratch," Khaitan says.

He points out that several external factors have slowed the industry, including restrictions on the export of critical equipment and knowhow from key global hubs, and a sharp fall in global cell prices, which has raised the bar for new entrants.

IMPORT SUBSTITUTION

There is heavy import dependence for the active materials anode and cathode, which account for over 60 per cent of the cell's cost. "Until that layer is built domestically, Indian cells will carry an import cost base, no matter how well the lines run," says Khaitan.

Agreeing with him, Vinay Rustagi, Chief Business Officer, Premier Energies Ltd, says the best option to get around these challenges could be the adoption of new technologies like sodium ion. But he also stresses that "commercialisation of new technologies is a costly and time-intensive process".

That said, significant investments have been announced; "several players have moved from construction to commissioning," observes Khaitan.

Projects worth 178 GWhr have been announced outside the PLI scheme. So, the battery cell industry in India is delicately poised — little track record but lots of hope. Experts note that patient capital and consistent policy support are key factors for growth. In July, the Ministry of Heavy Industries, which administers the ACC PLI scheme, issued a tender calling for manufacturers to establish capacity for large battery systems to support renewable energy integration and grid balancing.

NEED FOR TRANSPARENCY

The tender has raised questions over the transparency of the bidding process. In its roughly 90-page response to pre-bid queries, the ministry relied heavily on standard replies. Of 265 queries, 261 reportedly received stock responses, including "The relevant provisions of the bid documents are self-explanatory" and "Provisions of the bid documents shall prevail".

For example, in a query related to vanadium redox flow batteries, the bidder wanted to know whether the 'cell' referred to individual cell, stack, module or integrated system, whether Indian manufacture of key components and processes such as electrolyte preparation meets the domestic value-addition requirement, and whether technology-specific testing methods could be used where prescribed tests are unsuitable.

It is a moot point whether a potential bidder who is confused about "relevant provisions of the bid documents" will submit a bid at all.

The deadline for the bids, initially October 13, has been extended to November 10, with technical bids scheduled to open on November 11. The government has not given any response, but industry sources say the deadline extension was due to poor response.

◉ **HOT TAKE**

El Niño won't wait for COP31. India shouldn't either

AARTI KHOSLA

The world is at a dangerous juncture. As wars continue, the strongest El Niño since 1950 builds over the Pacific, AI disinformation disrupts the world, and the West is living through one of its biggest crises in recent times. Winning back stability will require skills and the mindset to build international institutions that can govern an interdependent world.

Climate change has been both an equaliser and divider.

The Conference of Parties to the United Nations Framework Convention on Climate Change (UNFCCC) has played a key role in building global climate action over the last two decades. At the same time, widening vulnerabilities have driven up impacts phenomenally.

El Niño is a weather phenomenon that shifts rainfall patterns and raises global temperatures, and it is worsened by climate change. This year's textbook super El Niño — already in record-breaking territory as COP31 opens in Antalya, Turkey (November 9-20) — is forecast to strengthen further in the first quarter of 2027.

The real question is whether the items on COP31's table — adaptation finance, loss and damage, trade rules for a transitioning economy, and just transition — hold up in a year when extreme weather from Europe to India to Nepal has made their stakes impossible to ignore.

A SOBERING PREVIEW

India has already had a preview of what a strengthening El Niño means this year. Irrigation, sowing and food prices have all been hit, and the monsoon closed 12.6 per cent below normal — the weakest since 2015. August was India's hottest month on record, and five states — Maharashtra, Andhra Pradesh, Telangana, Karnataka and Rajasthan — have declared drought.

The World Meteorological Organization expects 2027 to rival 2024 as the hottest year on record. The Intergovernmental Panel on Climate Change's (IPCC) own modelling suggests an El Niño layered on a planet already about 1.4 degrees C warmer than pre-industrial levels, could cut global crop yields by close to a quarter by mid-century, with India among the economies most exposed.

That compounding effect is why this year's numbers belong in Antalya's conversation, where the UNFCCC rulebook actually has room for them. Agriculture and food security are formally on the COP31 agenda, through the Sharm el-Sheikh joint work, and food has been named one of the Turkish presidency's priorities. A year like this is not the background to negotiations; it is the reason for them.

SCORCHED EARTH. Drought-hit acres in Shivamogga, Karnataka SK DINESH

Nepal is the clearest example. The ice and rock avalanche in August killed nearly 1,500 people and left more than 5,000 missing. Kathmandu asked the Loss and Damage Fund, created at COP27 in 2022, for $20 million. Nearly two months later, on October 22, the fund's board agreed to sanction the money, its first allocation ever, but with the insistence that it set no "precedent". The $20 million is a fraction of what's needed.

Recovery and reconstruction in a country responsible for barely 0.04 per cent of global emissions is estimated at $4.8 billion, while the fund itself holds barely $350 million against $2.8 billion in pending requests. It is a live test of whether the system can deliver and, so far, it is still finding its footing. India's 50 million Himalayan residents live under the shadow of the same risk, and need the same resilience funding and early-warning systems.

POSITION OF STRENGTH

In a year when conflict has disrupted fuel and fertiliser markets, India arrives at Antalya not as a supplicant but a nation that has met its transition targets ahead of schedule and is investing $19.3 billion in energy storage and transmission infrastructure.

India already funds 83 per cent of its own mitigation and 98 per cent of its adaptation domestically, against an adaptation bill that runs to ₹56.7 lakh crore by its own estimate. Backed by the BRICS bloc, which accounts for a quarter of the world economy and 40 per cent of its population, what India brings to Antalya is evidence of delivery alongside the ask. With cropping patterns already shifting on the ground, cheapest renewable power capacity being built at scale, monsoon data mapped to the district level and advancements in early-warning systems, India's credibility is more than a pledge on paper.

COP31 will not stop the next El Niño, and it was never designed to. What it can do, within the limits of its process, is decide whether the machinery is meant to help countries absorb a shock like this one, a credible adaptation finance baseline, a well-funded loss-and-damage facility that delivers money when countries need it most, trade rules that do not punish a transitioning economy, and a just transition mechanism that holds up when it is tested. This year has already supplied the test. Antalya is where the world finds out whether the system can pass it.

The writer is Director, Climate Trends

From digital islands to unified national backbone: A blueprint to fix India's power grid

The Central Electricity Authority chalks out ways to keep the grid stable and able to handle green power surges as the country races towards its clean energy goals

K Bharat Kumar

Imagine a company nestled in sprawling grounds where the CEO's office, the finance department and the marketing folks are cut off from one another. If the company runs out of cash or manpower, none of the other departments know about it until it's too late. For decades, India's electricity grid operated much like this — running on digital islands with meters, billing systems, and control rooms that barely 'spoke' to each other.

Today, the landscape is changing. Millions of people are buying electric vehicles and installing solar panels on their rooftop. While this green transition is great for the planet, it creates a humongous puzzle for the power grid: electricity isn't just flowing one way from a giant power plant any more; it is zigzagging across neighbourhoods.

To put in place a structure that can handle this chaos without breaking down, the Central Electricity Authority (CEA) released a blueprint earlier this month for a 'unified framework for digitalisation of the distribution sector'.

Currently, the country's electricity grid is buckling under pressure. Urbanisation, heavy industrial demand, spiking air-conditioning needs, and the sudden surge in rooftop solar (up 123 per cent in 2025, adding 7.1 GW) has weighed down the old system.

MATURITY-BASED FIX

The report's suggested big fix is this: instead of treating smart meters, data controls, and billing software as separate entities, the framework knits them together into a coordinated, national digital backbone. This ensures that as India moves towards it clean energy goals, the grid remains stable and capable of handling green power surges.

ISTOCK

So, should every town immediately buy the most expensive, high-tech AI software available? Obviously not. Instead, the CEA recommends a strict, maturity-based model. Its golden rule: "master riding a cycle before trying to fly a spaceship". A utility must first make sure it can see what is happening on its wires; second, it must clean up its data quality; and third, integrate its software before moving to automation and optimisation. In short, upgrading physical wires in step with digital upgrades.

Already, the old hardware is getting a digital upgrade: smart meters allow two-way communication, enable pre-paid billing and real-time tracking of power consumption; paper maps of power lines are being replaced with geographical information systems, acting like Google Maps for electricity assets; and, outage management systems combined with advanced distribution systems can automatically spot a break, isolate the affected wire, and reroute power in seconds instead of hours.

AI TO THE RESCUE

The report also highlights the importance of tools such as artificial intelligence and machine learning, which can spot patterns invisible to the human eye. For instance, AI can analyse sensor data from a transformer to predict if it is about to overheat days in advance, shifting utilities from a "wait-till-it-breaks" mindset to predictive maintenance.

Engineers can also use 'digital twins' — virtual computer replicas of city power grids — to simulate extreme weather events or heavy EV loads. Field workers can wear augmented reality glasses that overlay step-by-step wiring instructions. However, there is a strict safeguard: human engineers have to retain ultimate veto power over critical grid switching to prevent reckless computer errors.

Now, are power distribution companies (discoms) in India new to all this? Not really. In pockets, they are trying different solutions. For example, smart meter data analytics by AI-powered energy analytics and software company Bidgely has helped Bihar State Power Holding Company Ltd (BSPHCL) flag 136 theft cases in one month; the utility is now moving towards AI-based demand forecasting and energy accounting, and tackling high transmission losses. The CEA has drawn up a phased calendar to embed future technologies in discoms countrywide.

The first phase (2026-29) would focus on readiness assessments, cleaning up data, rolling out smart meters, and setting up cybersecurity baselines. The second phase, until 2032, would focus on integrating software silos (such as GIS, billing, data controls) for seamless data flow across departments. The final phase will extend beyond 2035 to bring in intelligence and automation, including 'self-healing' grid capabilities, and integration of renewable energy management systems.

To guard against hackers, the CEA mandates a 'cybersecurity-by-design' approach to ensure network segmentation, multi-factor authentication, and round-the-clock monitoring.

As always, technology is only as good as the people using it. The framework emphasises capacity building — training existing employees and creating specialised digital cells.

OFFICE BUZZ.

Humanoid robots deployed alongside factory workers

This October, the South Korean government granted a regulatory sandbox exemption allowing 20 humanoid robots to work alongside human employees in sectors like semiconductors, automotive, shipbuilding, and logistics. Normally, fences and other barriers are required between robots and people. But the exemption from industrial safety rules has added to the pressure on workers already worried about job losses. With China shopping for more humanoid robots to gain a foothold in South Korean factories, tensions are escalating. But those in favour of the Korean trials point out that the government will be using data from the experiment to revise its industrial robot safety requirements. The world is watching how this plays out.

Generational labels fail to capture workplace dynamic

A study led by Prof. Anamika Sinha of the Goa Institute of Management challenges the growing tendency of organisations to label employees by generation, particularly the perception that Gen Z is inherently less committed than the older generations.

The research team examined more than 700 respondents across three generational cohorts and found that differences between generations are more nuanced than popular workplace stereotypes suggest. The findings indicate that socialisation, life experiences and exposure may play a greater role in shaping workplace values and behaviour than generational labels based simply on year of birth. For instance, the study found that across a number of common business practices that were ethically questionable, the three generations showed broadly similar responses, with only marginal differences. This suggests that workplace ethics may be influenced more by what individuals have been exposed to and what their environment considers acceptable than by their generational identity alone.

◉ SATELLITE WARS

Asserting sovereignty in low Earth orbit

STARLINK VS RELIANCE. Amid promises of linking the remotest regions, can global satcom providers meet national security demands?

Vallari Sanzgiri

"Dear Prime Minister Ambani, Please accept my humble apologies for not realising that you are the real boss of India." — **SpaceX and Starlink owner Elon Musk**

"We welcome competition... Every player must serve the people of India and abide by the laws..." — **Reliance Industries Ltd**

"I think I am significantly ahead in the queue from [Musk]. I applied five years back..." — **Bharti Airtel Chairman Sunil Mittal**

"There are three parties that have got a licence... when they individually fulfil the security conditions, they can start operations." — **Communications Minister Jyotirao Scindia**

Welcome to India's satcom wars. While bitter and sardonic, Musk's X post jumpstarted a heated debate in India's long-delayed satellite communication space. For five years, major satcom players have been waiting for the final regulatory go-ahead to launch commercial services. As the sole foreign player among the three entities closest to clearance, Musk was the first to lose his patience — lashing out with allegations that the Indian government was favouring domestic "oligarchs".

However, his rivals and policymakers reject that narrative. They attribute the deadlock to a complex and sensitive issue: national sovereignty.

Indeed, back in February 2025, when Musk discussed Starlink's pending entry during his meeting with Prime Minister Narendra Modi in Washington and followed up with a phone call in April, a high-level alignment on tech and space was on display. Policy tussles between terrestrial and satcom players repeatedly favoured the global players until last year.

In 2024, while terrestrial players called for spectrum auctioning, the government favoured the global practice of administrative allocation. In the next battle — over pricing — terrestrial players pushed for high entry barriers, upfront reservation pricing, or similar minimum costs to "level the field" for players who had incurred a heavy financial burden after 5G.

The pricing structure now awaits Cabinet approval at 4-5 per cent of gross adjusted revenue, easing the financial duress of new players.

In a last-ditch effort, telcos asked the government to levy an urban fee of ₹500 per user for satcom players. This was rejected and it appeared to be smooth sailing for Starlink thus far.

The momentum shifted this year, after geopolitical developments clouded Starlink's chances of getting licensing approvals in India. The India-US relation, too, has been rocked by differences over visas, tariffs, and other issues.

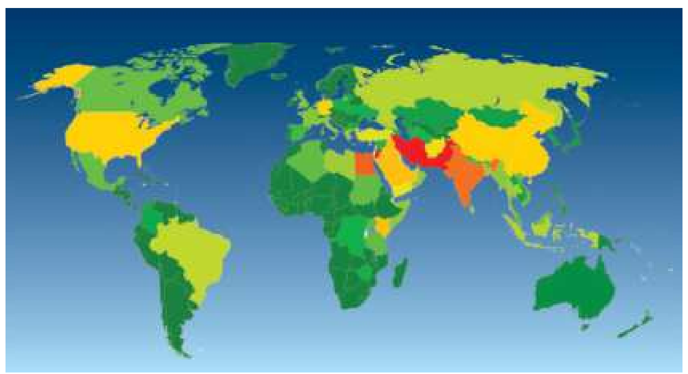
As India doubled down on security checks, around June there were rumours of a regulatory freeze for Starlink, and by August the Indian National Space Promotion and Authorisation Centre (IN-SPACe) rejected Starlink's clearance request due to security concerns. No surprise then that Musk cried bloody murder.

BLAZING ROW. Elon Musk, owner of SpaceX and Starlink BLOOMBERG

Mukesh Ambani, chairman of Reliance Industries Ltd BLOOMBERG

Countries under the NSA's lens for data collection

India is among the NSA's most surveilled nations



Note: The colour scheme ranges from green (least surveilled) to yellow, orange and red (most surveilled). The US National Security Agency (NSA) is responsible for global monitoring, signals intelligence and cybersecurity

Source: Kutniti Foundation

SECURITY VS CONNECTIVITY

Addressing Musk's allegations of a bias, retired Lt Gen. AK Bhatt, Director General of Indian Space Association (IspA), says, "Whether those allocated licence are Reliance Jio or Eutelsat or even Starlink, security definitely becomes important. While technology is moving fast and D2D (direct-to-device) is on the horizon, a deliberation of security consideration does become ethical for any sovereign nation."

Tony Azzarelli, Vice President of Regulatory Affairs and Policy for OneWeb (which is Mittal's partner), also expressed "shock" at Musk's claim of an oligarchy blocking Starlink's licence.

"I would argue that we have been slowed down by the newcomers. Why? Everyone knows, just take a look at the geopolitical situation in India-subcontinent and in the middle-east, this has created anguish and fear to the regulatory agencies," he said in a LinkedIn post.

While tactical, Azzarelli's comment about new players and security concerns is not without reason. Shortly after the X outburst, Musk reportedly ordered the slowdown of a military-grade version of Starlink relied on by Ukraine, wreaking havoc in that country's ongoing war with Russia, according to media reports. In the days that followed, the company and the US government took turns shifting the blame on each other. The incident and other similar ones in the past only served to underscore the dangers of handing over communication services to a foreign player.

Kutniti Foundation, a think tank focused on national security, went so far as to call Starlink a wolf in sheep's clothing that adhered to its biggest customer and promoter, the American government intelligence and military, while disregarding the sovereignty and democracy of other nations. It cited the examples of Gaza and Iran, where Starlink has flip-flopped on its decision to provide connectivity based on its understanding with the parties in power.

An industry source told *businessline* that the Indian government had spoken with the company on certain access and compliance measures. Failing to arrive at a consensus, all players remain in queue.

NEED FOR SATCOM

Interestingly, some players are not as perturbed as Starlink over India's delay. During a session at the India Mobile Congress, Tarun Chitkara, Vice President–Regulatory Affairs, Airtel, acknowledged that D2D could be a game-changer, but only for the 1 per cent of the population that cannot access terrestrial services due to geographical or commercial reasons, making it a complementary service for existing domestic players. This appears especially true when considering that Starlink's annual plan cost ₹2,15,600 for 50-200 Mbps last year, almost 10-14 times that of major Indian broadband providers, which can prove a major drawback in the price-conscious Indian market.

On the flip side, India may want to consider satellite communication as more than just another broadband market, says Akhilesh Tuteja, Partner and National Leader–Clients and Markets, and Technology, Media and Telecommunications, KPMG in India. Satcom can serve as strategic digital infrastructure, connecting the hard-to-reach segment, strengthening resilience and creating an opportunity for India to build capabilities for the world, if executed correctly, he argues.

"The challenge is not to choose between security and speed, but achieve both," says Tuteja.

The Cabinet is expected to soon approve the Digital Communications Commission's (DCC) suggestion for a spectrum usage charge (SUC) of 5 per cent of adjusted gross revenue (AGR) for satcom service providers, with a reduction of one percentage point for services in government-notified hard-to-connect and remote border areas. Until then, the satcom players are left playing the policy version of musical chairs.

Festive party overload at work?

PEOPLE@
WORK

KAMAL KARANTH

CELEBRATION OR DUTY? The office party aka company-approved fun ISTOCK

During Dussehra did you feel you didn't have the right attire for your office's 'ethnic look' day? Don't worry, you can still shop the look as Deepavali is not far away!

Believe me, your HR and admin teams won't let you down. They must be busy already preparing a Deepavali decoration design and working with vendors for a new set of cuisines to get your energies up once again. If we don't dress up, play games, eat together, click and post those pictures, how else can we feel a sense of belonging in our organisations?

"The samosa this time wasn't as good as last year's — did we change the caterer?" was one of the comments on our Slack chats after a recent festival celebration at work.

"Our Diwali sweet boxes should be bigger and premium compared to our competitors," wrote our Key Account Manager.

Our location head emailed, "It's a year since we inaugurated this office; we should celebrate the anniversary with a lunch for all the 100 employees."

Celebrations for various occasions have become almost entitlements in the world of work. Cynics believe there are too many. Although everyone agrees that we need to engage more informally to be productive formally.

WELFARE CAPITALISM ERA

Harvard Business School records the early 1900s as the time when welfare capitalism showed up. It began after labour unions, social reformers, journalists, and photographers brought to national attention the poor working conditions of industrial workers. Western Electric (after acquisition, the brand was phased out by AT&T) was one of the first few to introduce recreational activities for its workers to participate in running meets, tennis ball games, baseball leagues, lunchtime concerts and beauty pageants. At that time, even Kodak, Cadbury, and Ford pioneered highly structured social, athletic, and educational events to build company loyalty, improve physical health, boost productivity, and — most importantly — discourage worker strikes and independent labour unionising. If your employer organises an annual sports day or customised versions of IPL, they are not doing anything new but following history. Current organisations may not be afraid of unionism or worker strikes but are concerned about Glassdoor ratings.

THE COLLECTIVE

Sociologist Emile Durkheim gives the analogy of tribal members whose lives are mostly spent performing menial tasks such as hunting and gathering, but on rare occasions, when the entire tribe comes together to celebrate, a sense of "collective effervescence" emerges. In the modern-day workplace, offsites, company dinners, award ceremonies, hackathons, Secret Santa, and so on may lead to collective effervescence.

Among the emails I get, send-off messages are of great interest to me. One of the best memories people share in their goodbye emails is their time out with colleagues, highlighting moments from treks, bootcamps or offsites they enjoyed with their team.

CELEBRATION FATIGUE

In a country like India, which is vast and diverse, the list of celebrations may lead to fatigue. If you are a founder-led company, there will be a founding day; and if you are a large company, then the 10th, 25th, 50th anniversaries become moments to celebrate survival. From Independence Day and Women's Day to national festivals like Deepavali, Ganesha Chaturthi, Dusshera, Ramzan, Christmas and various regional and/or State festivals, the list is quite long. One of my HR friends recently joked that his unofficial title is "Head of Rangoli".

Not only do people put great effort into organising these, but they also have to spend substantial energy and time requesting people to turn up. The Slack chat lights up with messages like "The cake (or food) is already here, please come". Makes me wonder if our colleagues are overburdened by these celebrations.

ENFORCED JOY?

Why are some of us drained by these collective rituals in spite of their celebratory nature? Is it because they are too frequent, or have no variety (just dress, eat and sing), or because of the official setting? Sociologists Peter Fleming and Andrew Sturdy argued that true collective effervescence must be organic and bottom-up. When management builds games, theme days, or social rituals into the job, the play ceases to be voluntary and becomes a work requirement. As much as it's fun seeing our colleagues dressed in yellow because HR said so, I wonder what the forced dress code did to the reluctant ones, or the ones who didn't oblige and hence weren't in the yellow team picture!

Randal Collins, in his book *Interaction Ritual Chains*, argues that when individuals do not share the same social codes, background knowledge or interests, and there are no synchronised emotional moods, the ritual chains fail, resulting in exhaustion and draining of emotional energy. That should explain why some of us avoid turning up to the company-approved version of fun.

On the other hand, imagine you turn up to work this Deepavali and find no takeaway goodies, or this December your front-office doesn't have a Christmas tree, won't you get worried about your employer's financial health or the deteriorating culture? I guess potluck rituals are also becoming an important measure of whether enterprises are great places to work.

Kamal Karanth is the co-founder of Xpheno, a specialist staffing company

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◉ TABLE TALK

Treks & tea: Rudra Chatterjee's biz brew

Chitra Narayanan

When the Covid-19 pandemic hit, Rudra Chatterjee, Chairman of Obeetee and MD of Luxmi Estates, joined an online course on the 'History of Design', from Oxford University. He got his master's degree in 2022. "The certificate was given in 2024 — 20 years after my first master's, which was an MBA from Columbia," says the Kolkata-based third-generation industrialist, who leads one of the world's oldest luxury carpet companies as well as the estate that owns Makaibari, one of the world's costliest teas — the one that earned appreciation and a letter from King Charles.

The second master's degree shifted the 49-year-old Chatterjee's focus from numbers to objects, he says. He began diving into the history, the design, and the skill involved in creating them. "It also inspired me to get deep into how a customer experiences an object. In the case of carpets, how do you tell the story of the yarn, the weaving, the dyeing; and in the case of tea, the planting, the plucking, the brewing," he says.

That understanding has led to him creating more experience centres for both his businesses, where people can walk in and get a deep feel of the products. "We are also making two museums," says Chatterjee. One is in Banaras, on the craftsmanship of silk, mainly in carpets, but also a bit on other textiles. The other is a tea museum in Darjeeling. Additionally, Obeetee Craft Studio in Kolkata is reviving different crafts, from stitch to knot, ranging from Jamdani to Kantha.

We are meeting for lunch at the Chambers at Taj Mahal hotel in Delhi, chosen by Chatterjee because Makaibari — the legendary tea brand that the Luxmi group acquired from Raja Banerjee — is served here. He opts for a soup and grilled fish while I go in for an Asian bowl with rice, tofu and vegetables. Both are delicious — but the anticipation is entirely over the tea at the end. "I'm very interested in food, especially local cuisines, and food that brings people together," says Chatterjee, describing how he enjoys visiting Amar Khamar, in Kolkata, which champions heirloom rice. "But I think the food that brings people together the best is tea. I like tea which is whole leaf, brewed in a pot for five minutes so that you can break the ice. We should not hurry a cup of tea," says Chatterjee, who clearly appreciates the finer things in life. A certified wine taster, he is also a keen sportsman. "I play squash but now am trying to move to tennis," he says. He is also an avid reader.

Both his businesses, he says, have a huge number of workers and they are the heart of the business. He recalls how, right from when he was a child and used to vacation on the family's tea estates, he would hang out with the workers. "I used to walk into the labour quarters and drink *chai muri* — the workers would make tea and sprinkle *moori* (puffed rice) on top of the drink," he reminisces.

WEAVING A CHANGE. Rudra Chatterjee, Chairman of Obeetee and MD of Luxmi Estates

His first exposure to working in the family businesses, after his studies, was at Obeetee, founded in 1920 in Mirzapur by three Britons: FH Oakley, FH Bowden, and JAL Taylor. The Luxmi group — founded by his grandfather, a freedom fighter and nationalist, as a Swadeshi enterprise to break British monopoly in tea — had acquired a majority stake in Obeetee in 1998, but was largely hands off with Edward Oakley (Bowden and Taylor had exited by then) running it. After Columbia, Chatterjee had joined Booz Allen Hamilton in New York but returned home in 2007-08.

"When I came back, the financial crisis had hit. Edward Oakley was concerned about the business, which at that time was 100 per cent exports. I felt the business had a lot of potential because there was great workmanship, great quality. But we didn't have design, we didn't have branding," says Chatterjee.

The first thing Chatterjee did in 2008 was to get NID students in India and Parsons students in the US to work with Obeetee's design department. "And then we got into retail, we started working with Sabyasachi Mukherjee, Tarun Tahiliani, Abraham and Thakore, etc. But by the time we entered the domestic market, it was another 7–8 years," he says.

Around this time, Chatterjee, an avid trekker who had done the Inca trail in Machu Pichu, went on a climb to Sandakphu, the highest peak in West Bengal. He later stayed in Makaibari, where he met Raja Banerjee and the acquisition was brewed. "He said, 'You have three advantages... you're a tea guy... you're young. And you like mountains. So over a cup of tea, the investment was done," he grins.

Chatterjee began getting more involved in the family's tea business. "I felt it is very important to grow tea, not only in India but other geographies too," he says. After a trek in Kilimanjaro, he began looking at tea estates in Tanzania but finally decided on Rwanda. "I acquired land and started planting tea. Both my grandfather and father had done greenfield too," he says. "Now we have 10 million kg of tea in Rwanda. And we have also acquired estates in Assam. So India-plus-Rwanda is around 30,000 hectares." The group has estates in Tripura (where his grandfather had first planted in 1912) and Darjeeling too. If Darjeeling is all about flavour and Assam is about strength, then Rwanda is all about brightness, says Chatterjee, who is honorary consul of Rwanda in eastern India. "It is one of the fastest growing countries in the world," he says.

The tea business is pivoting to wellness now, says Chatterjee, and looking at infusing ayurveda. "Today we are exporting a lot of tulsi, ashwagandha, valerian and getting into herbal wellness," he says. In 2025, the Luxmi group also acquired a majority stake in Brew Tea, in the UK, which has an interesting D2C subscription model reaching thousands of households.

Obeetee has moved beyond carpets to furniture and home textiles. "We first manufactured furniture only for B2B exports," he says. But then the company acquired stakes in high-quality Italian furniture companies. "We now make furniture in Italy and Jaipur," he says.

Obeetee inked a joint venture with Germany's TWE Group GmbH when Chatterjee and his wife were quarantining in Germany during Covid. Called Benecore, it manufactures synthetic, machine-made, non-woven fabrics and technical textiles. "We are opening a hygiene plant in November to produce diapers," he says.

Reflecting on his businesses, Chatterjee says it is just like a typical Indian joint family with a lot of old and young members living together. "We have many historic businesses but also very young ones — like the Rwandan business," he says. Consolidated, the group revenues (excluding the JV Benecore) is above ₹2,500 crore and growing at a healthy 20 per cent year-on-year. As the tea arrives and we wait for it to brew, Chatterjee says that one of Satyajit Ray's characters, Feluda, used to drink only Makaibari. Bengal is an imaginative State with a lot of storytelling strength, he says, and as the State looks at business resurgence, its brands need to reclaim national attention. His own brands are doing a great job at that.

BENGALURU
businessline.
MONDAY - OCTOBER 26 - 2026

FUND FACTS.

$106 million

Vegafin Capital Private Limited received funding from Premjiinvest, Norwest Venture Partners, and Lok Capital on October 21, taking the total funding to $106 million.

$75 million

Tessolve Semiconductor Private Limited received funding from Vector Line Capital on October 11, taking the total funding to $283 million.

$50 million

Even Healthcare Private Limited received Series B funding from Khosla Ventures and Alpha Wave Global on October 19, taking the total funding to $116 million.

$42 million

Bling Brands Private Limited received Series B funding from Bharat Value Fund and Bessemer Venture Partners on October 12, taking the total funding to $55 million.

$35 million

Greencell Mobility Private Limited received funding from Investment Fund For Developing Countries (Ifu) on October 13, taking the total funding to $255 million.

Source: PrivateCircle Research, a private market intelligence platform

RE POSTS.

There are probably 1000s of startup ideas sitting inside businesses where employees complain about the same problem every single day.

Andrew Gazdecki
@agazdecki

Someone asked what was the best way to get hired by a startup. I told him it was to start one and then hire himself.

Paul Graham
@paulg

Scouting raw talent is the only hiring edge a seed stage startup can actually afford.

Sana
@iamsana_afreen

The underrated startup skill nobody talks about enough:
Explaining what your product does in one sentence.
If people don't understand it, they won't buy it.

Usama
@usamafolio

Meta just acquired Julie Zhuo's startup Sundial.
Quiet lesson for founders:
Your reputation is part of your company's value.
Years of sharing what you know publicly is a moat nobody can copy with a bigger budget.
Build in public. It compounds.

Suroor Wijdan
@suroorwijdan

◉ **CHASING ATOMS**

Founders who chose the 'nuclear option'

UNLIMITED ENERGY. Meet the people vying to turn nuclear technology, long dominated by the State, into thriving private businesses

Aishwarya Kumar

ISTOCK

One startup is trying to recreate the conditions that power the Sun. Another wants to trigger nuclear fusion using powerful laser pulses. A third is developing a mini nuclear reactor that can be transported to wherever electricity is needed.

Their shared ambition? Turning nuclear technology, long dominated by the State, into an arena for private enterprise.

For Bengaluru-based Pranos Fusion, the attraction lies in making fusion energy commercially viable. While fusion involves combining atomic nuclei to release energy — the very process that powers the Sun — replicating it on Earth requires extreme temperatures and tightly controlled conditions.

"It had become an engineering challenge and no more a scientific challenge," says Roshan George, co-founder of Pranos Fusion.

A fusion experiment at the Joint European Torus (JET) facility in 2021, which sustained fusion power for five seconds, had sparked the idea for the startup in 2024. The co-founders visited the facility, spoke to researchers and evaluated the available approaches.

They settled on magnetic-confinement fusion, a technology that uses powerful magnetic fields to hold in place plasma — an extremely hot, electrically charged gas. In September this year, Pranos unveiled Pragya, described as India's first privately developed compact tokamak, a doughnut-shaped machine used to confine plasma. The startup targets its 'first plasma' launch — generating and magnetically confining plasma in the Pragya tokamak — in January 2027.

Hyderabad-based Anubal, meanwhile, is developing laser-driven inertial-confinement fusion — using powerful laser pulses to compress and heat a tiny fuel capsule until fusion conditions are reached.

Neither startup has yet demonstrated a commercially viable power plant that can reliably produce more usable energy than it consumes.

For Anubal, the challenge begins with the laser itself. It is working on plasma optics to reduce the size of the optical components used in high-intensity lasers, which are typically large, expensive, and damage-prone. Its longer-term ambition is proton-boron fusion to reduce the neutron production accompanying the more commonly studied deuterium-tritium fuel cycle.

But since commercialisation of fusion power is still years away, Anubal is in the meantime exploring the monetisation of opportunities in laser technology and related systems. The focus is on components and capabilities that have applications beyond the reactor.

REACTOR ON WHEELS

Defence technology company Big Bang Boom is pursuing nuclear fission — the splitting of atomic nuclei to release energy — through a portable micro-modular reactor in the 1–10 MW range.

Meant to be transported on a truck for installation at a customer's site, the reactor's potential users include industrial facilities, mines, commercial complexes and AI data centres, as well as defence installations in remote locations with limited grid connectivity and dependent on diesel generators.

Big Bang Boom estimates that ₹1,000 crore and more would be needed to develop its mini reactor. It is banking on internal accruals, strategic partners and government R&D programmes for the funding. Co-founder and chief technology officer R Shivaraman says the company targets building a working reactor within five years.

The business opportunity for nuclear-focused startups is chiefly tied to a shift in India's nuclear ambitions.

The Union Budget in February 2025 announced a ₹20,000-crore Nuclear Energy Mission focused on R&D for small modular reactors (SMRs). The government targets at least five indigenously designed SMRs by 2033 and 100 GW of nuclear power capacity by 2047.

REGULATORY RAILS

The SHANTI Act, which received presidential assent in December 2025, opened the way for private sector participation in licensed nuclear facilities and activities, subject to regulatory oversight.

Meanwhile, the nuclear opportunity has expanded beyond reactors into applications such as medical isotopes used for diagnostic imaging and cancer treatment, sterilisation of medical equipment, and food irradiation to improve food safety and extend shelf life. Nuclear power can also support green hydrogen production.

This opens up more commercialisation opportunities for companies developing and supplying nuclear components and equipment.

Unimech Aerospace and Manufacturing, for instance, supplies precision-engineered components and electromechanical assemblies to Nuclear Power Corporation of India Ltd and its subsidiaries. It is also approaching larger private players involved in reactor construction.

The company has nuclear-related orders worth about ₹87 crore.

CAUTIOUS CAPITAL

However, despite the opportunities inherent in the expansion of India's nuclear capacity, especially for the manufacturing sector, the nuclear startup ecosystem remains nascent. According to market intelligence platform Tracxn, only five of the 33 companies in the sector had raised funding — $6.8 million cumulatively year-to-date.

This is in striking contrast to the momentum visible in the space and defence technology sector.

Tracxn co-founder Neha Singh pinpoints the reasons: space and defence companies can tap established public-private procurement frameworks and supply chains, whereas nuclear ventures face long development cycles, high capital requirement, complex liability provisions and stringent regulatory oversight.

The SHANTI Act and government support for SMR development promise to usher in more private investment over time.

For now, fusion startups need to demonstrate that their technology works and find commercial applications that can sustain years of research. For fission ventures, the challenge is to secure capital, navigate regulation and prove that smaller reactors can be deployed safely and economically.

To turn the newly opened nuclear opportunity into a viable industry, private players must leaven their ambition with repeatable engineering, patient capital, and a regulatory framework that gives investors and customers a reason to commit.

◉ **STARTUPS: VAI-THEE-FUSS**

Sell your vision for the future, but don't oversell the present

VAITHEESWARAN K

I never imagined I would be discussing a recent film release in a startup column, but the numbers are hard to ignore.

During its opening weekend the film grossed over $15 million across more than 2,000 sold-out screenings at 855 theatres, and more than 70 per cent of the audience was below 35.

The documentary *You Can See Everything* about Elizabeth Holmes, the disgraced founder of Theranos, released recently to blockbuster crowds in the US and Canada.

For those unfamiliar with her story, Holmes founded Theranos in 2003, promising to revolutionise healthcare through a technology that could conduct numerous medical tests using just a few drops of blood. Investors poured nearly a billion dollars into the company, which was valued at $9 billion at its peak and turned Holmes into a celebrity entrepreneur.

Unfortunately, the technology did not deliver as promised and investigations revealed serious discrepancies between the company's claims and actual capabilities. Theranos collapsed, and Holmes was eventually convicted of defrauding investors and sentenced to more than 11 years in prison.

Startup founders regularly make ambitious promises about technologies that are still being developed, markets that may not exist, and revenues that may take years to materialise. But being wrong and being dishonest are different.

Founders may believe in a future that does not exist yet but they must be truthful about the present.

India has had its own share of startup governance controversies. Byju's spectacular collapse raised serious questions about financial reporting, governance and board oversight. In 2023, GoMechanic's founders acknowledged serious inaccuracies in the company's financial reporting, including inflated revenues, triggering investigations and a major restructuring. While the circumstances may differ, these cases underline the importance of integrity, transparency and strong corporate governance.

Investors cannot escape responsibility either. Celebrated founders attract capital because of their personality, past reputation or impressive current investors. When venture capitalists prioritise valuations over fundamentals and hesitate to question reputed founders, they risk facilitating the very behaviour they should be discouraging.

Integrity can never be conditional. A founder's credibility is the most valuable asset of a young company. Customers trust its products, employees trust its leadership and investors trust its disclosures. Once that trust disappears, even a promising business can become impossible to sustain.

The Theranos story is ultimately not about a failed technology. It is about misleading people.

The writer is a serial entrepreneur and best-selling author of the book 'Failing to Succeed'; posts on X @vaitheek

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Astrobase's 3Rs of rocket launches

Bengaluru-based firm bets on reusable rockets to bolster India's space prowess

Jyoti Banthia

In the race to build reusable rockets, Bengaluru-based Astrobase Space Technologies is looking beyond the development of a powerful engine to increasing India's capacity to put satellites into orbit.

The startup's ambitions rest on EVEREST, its 800 kN-class rocket engine built around the advanced 'full-flow staged combustion' (FFSC) propulsion architecture, which is used by only a handful of companies globally.

The engine has been fully integrated, and its component and subsystem tests are underway. A full-scale hot-fire test, a critical milestone in validating performance, is yet to be completed.

For Astrobase, that test will be a decisive step towards meeting its December 2028 target for first orbital launch.

"We have also built our own methane engine testing facility, which is ready to support testing and design modifications," says Neeraj Khandelwal, co-founder and CEO of Astrobase Space Technologies.

RECOVERY MODE. Neeraj Khandelwal, co-founder and CEO, Astrobase Space Technologies

The company is developing a reusable medium-lift launch vehicle to carry about eight tonnes to low Earth orbit. Its strategy combines methane propulsion, high-thrust engines and in-house manufacturing, with the same engine architecture planned for both stages of the rocket. This, Khandelwal says, would allow the company to mature a single design rather than developing separate propulsion systems.

LAUNCH CAPACITY

But reusability remains a long-term engineering challenge. Astrobase estimates it could take five to 10 flights before it can get its launch vessel to successfully land and recover its first stage, underlining the distance between developing an engine and establishing a dependable launch system. The commercial opportunity, the company believes, lies in the widening gap between India's satellite ambitions and available launch capacity.

India launched approximately 9.5 tonnes of payload into space in 2025, compared with around 370 tonnes by China and 2,700 tonnes by the US, according to data compiled by Astrobase. As satellite communications, national security and other space applications expand, there is likely to be a demand for more launch capacity.

Astrobase wants to build the infrastructure domestically rather than remaining dependent on existing launch providers. Its longer-term ambition is to increase the annual orbital launch capacity from around 100 tonnes to 1,000-plus tonnes, while producing about 50 engines annually.

The startup has raised about $13.5 million so far, for its current development phase. It has also been selected under IN-SPACe's Technology Adoption Fund. However, it has not disclosed the capital needed to reach its first orbital flight or scale up commercial operations.

EVEREST is fabricated through 3D printing to a large extent, while the company's in-house testing facility helps identify problems and modify designs as the development progresses.

COST SAVING

The extent of the startup's dependence on external suppliers and the cost savings from vertical integration remain unspecified. Cost-competitiveness against established launch providers, including SpaceX, is another question the company is yet to address with numbers.

Astrobase has not set a launch-cost target, citing the need to complete system validation first.

For now, the company's priority is to demonstrate reliable engine performance and progress towards orbital flight. Its larger ambition is to build propulsion systems, launch vehicles and space hardware in India, positioning the country as a provider of space infrastructure for domestic and international customers.

Whether that ambition will lead to a commercially viable reusable launch system will depend on what comes next: testing, repeated flights and, eventually, recovering a rocket stage successfully.

Ventures in the pink of health

bl.interview

Aishwarya Kumar

In healthcare, a startup's ability to scale up is only part of the investment case. For Alkemi Growth Capital, the bigger test is whether the venture can grow without compromising care, sustain customer demand, and justify its valuation.

The investor, which backs healthcare and wellness businesses with initial cheques of ₹15–30 crore, is looking beyond conventional care delivery. As Alkemi deploys its second fund and prepares for a third in 2027, its founding partner Alka Goel explains how the firm picks founders, prices risk and identifies opportunities.

Edited excerpts:

How has Alkemi's investment thesis evolved?

Healthcare remains an underserved sector, and our focus on healthcare and wellness has not changed.

What has evolved is the range of opportunities, from specialised care and novel diagnostics to healthcare technology and indigenous manufacturing.

What do you look for in a startup?

We start with the founder's understanding of healthcare and ability to navigate setbacks. We then assess customer retention, unit economics, growth prospects and the strength of the value proposition. In healthcare delivery, scalability without compromising care quality is critical.

> Specialised segments such as childcare, senior care, oncology and cardiovascular care remain underfunded opportunities
>
> **ALKA GOEL**
> Founding partner, Alkemi Growth Capital

What is your cheque size and portfolio target?

Our initial cheques range from ₹15 crore to ₹30 crore. We plan to back 16–18 companies from our current fund, while reserving capital for follow-on investments.

Do you lead investments and take board seats?

We prefer to lead or co-lead and typically take a board seat. Beyond governance, we support founders with hiring, customer introductions and subsequent fundraising.

Which healthcare opportunities remain underfunded?

Tier-II and tier-III markets need affordable, accessible care. Specialised segments such as childcare, senior care, oncology and cardiovascular care also offer opportunities. We see potential in AI applications too.

Are you planning a new fund? How do you view the biotech sector?

We plan to launch Fund III in 2027. Contract development and manufacturing organisations (CDMOs) remain an opportunity, while funding for novel drug development is still some distance away.

How are you approaching fund deployment and exits?

We are deploying Fund II and typically make four to five investments annually. We support portfolio companies over five to six years, including by helping them raise subsequent rounds. Our companies have raised more than $350 million since our investments. Pee Safe was a recent exit, and we are working on further exits from Fund I.

DATA BANK.

Account aggregator ecosystem finds growing acceptance

Since its launch in September 2021, the Account Aggregator (AA) ecosystem has expanded rapidly in both participation and usage, facilitating the disbursal of an estimated ₹3.82 lakh crore across 3.68 crore loans in FY26, according to a study by CRIF Credit Information Services and Sahamati (an industry alliance for India's AA ecosystem and an RBI-recognised self-regulatory organisation).

The AA framework enables individuals and businesses to share their financial information with a prospective lender or other regulated entity in a digital, real-time and consent-driven manner, directly from the institution that holds the data.

Financial information providers (FIPs), such as banks, hold the data; financial information users (FIUs), such as lenders, consume it; and RBI-licensed AAs act as consent managers facilitating the transfer.

The data flows in encrypted form, and the AA itself cannot read or store it. Every data share requires the customer's explicit, specific and revocable consent, defining what data is shared, with whom, for what purpose and for how long.

As of August this year, the ecosystem comprised 16 AAs, 176 FIPs and 1,144 FIUs, alongside 1,185 live financial entities across the network.

Loans facilitated by the AA ecosystem accounted for about 8.4 per cent by value and 11.8 per cent by volume of India's retail loans and lending to micro, small and medium enterprises (MSME). In FY26, the value of AA-enabled lending is estimated to be about 1.1 per cent of India's GDP, according to the macro study on the 'Impact of AA by comparing AA-enabled lender cohorts with non-AA cohorts'.

AA-enabled loans span personal loans, unsecured business loans, consumer durable loans, home and property loans, and motor loans. Interestingly, banks leveraging the AA ecosystem account for 47.3 per cent of AA-enabled lending by value in the second half of FY26, and non-banking financial companies (NBFCs) account for the rest, said CRIF and Sahamati.

Pincode-level analysis shows that greater exposure to the expanding AA ecosystem is linked to stronger AA-enabled lending in housing, personal, and auto loans. It also corresponds to higher lending to new-to-credit (NTC) borrowers, borrowers in tier 3 and beyond locations, and women borrowers, particularly within retail credit products.

Similarly, higher AA exposure is positively associated with night-time light intensity, a high-frequency indicator of local economic activity.

Sanctioned loans value growth

	June 2026 (year-on-year)	
	AA-enabled loans	Non-AA enabled loans
Personal loans	1.07 x	0.89 x
Business loans <=₹10 lakh	0.31 x	0.40 x
Business loans ₹10-25 lakh	0.41 x	0.61 x
Home loans	8.17 x	1.72 x
Property loan/LAP	1.87 x	1.11 x
Wheels finance		
Auto loans	1.06 x	0.70 x
Two-wheeler loans	3.82 x	0.32 x
Used car loans	0.52 x	0.62 x

Sanctioned loans volume growth

	June 2026 (year-on-year)	
	AA-enabled loans	Non-AA enabled loans
Personal loans	0.87 x	1.07 x
Business loans <=₹10 lakh	0.32 x	0.40 x
Business loans ₹10-25 lakh	0.41 x	0.60 x
Home loans	6.16 x	1.59 x
Property loan/LAP	5.80 x	1.27 x
Wheels finance		
Auto loans	1.19 x	0.720 x
Two-wheeler loans	3.73 x	0.30 x
Used car loans	0.57 x	0.70 x

(Dark blue shade represents higher adoption in AA in the product type)

Average ticket size (in ₹ and rounded off to the nearest 100)

	June 2026	
	AA-enabled loans	Non-AA enabled loans
Personal loans	2,67,500	1,81,100
Business loans (<₹10 lakh)	6,59,770	6,11,000
Business loans (₹10-25 lakh)	15,60,560	16,06,000
Home loans	18,39,600	18,70,400
Property loan/LAP	32,03,400	30,76,900
Wheels finance		
Auto loans	8,14,270	6,84,800
Two-wheeler loans	1,15,400	1,03,890
Used car loans	7,76,600	6,79,600

Performance benchmarking

	June 2026 (PAR 90+)	
	AA-enabled loans	Non-AA enabled loans
Personal loans	2%	2.2%
Business loans ₹10 lakh	4.1%	4.4%
Business loans ₹10-25 lakh	2.3%	2.2%
LAP	<1%	<1%
Wheels finance		
Auto loans	0.2%	0.7%
Two-wheeler loans	0.5%	5.3%
Used car loans	2.4%	1.7%

Source: CRIF

AT-1 BONDS

Yes Bank's costly 'procedural lapse'

NO, BANK. Rescued Yes Bank finds itself in a fresh financial quagmire — the reinstatement of an ₹8,415-cr write-off

K Ram Kumar

BOND MARKET
COUPON
NAME
YIELD
0.10 %
3 Month
0.18 %
+12
0.30 %
6 Month
0.42 %
+26
.40 %
1 Year
0.58 %
+36
60 %
Year
0.80 %
+48
0 %
Year
1.15 %
+51
48 %
+47

ISTOCK

Yes Bank finds itself at a crossroads following the Supreme Court's recent judgment upholding the January 2023 Bombay High Court decision to reinstate the additional tier-1 (AT-1) bonds aggregating to ₹8,415 crore that were written down in March 2020 by the bank's administrator.

The SC judgement is a setback for the private bank as the reinstatement of the bonds has adverse implications for its bottomline and core (common equity tier or CET-1) capital. Retail bond holders are reportedly clamouring for the payment of the unpaid coupons on these high-yield bonds.

The bank nearly went belly up in 2020 following a severe deterioration in its financial parameters (in Q3FY20). It had incurred a loss of ₹18,560 crore due to a ramp-up in provisions, including an additional ₹24,766 crore towards bad loans; its gross non-performing assets (NPAs) had shot up to 18.87 per cent; and the CET-1 ratio had plunged to 0.6 per cent as against the minimum requirement of 7.375 per cent. It is now weighing its options to tide over the challenge posed by the SC judgment.

Vinay M Tonse, MD and CEO, Yes Bank, laid all the cards on the table in his recent interaction with analysts. He noted that, based on the bank's current assessment, which is indicative and as of September 30, the reinstatement of the AT-1 principal amount would have a pro forma impact of about 240 basis points on the CET-1 ratio (which will decline from 13.7 per cent to 11.3 per cent), including profits. Further, the bank's overall Tier 1 capital ratio is expected to remain around 13.7 per cent on a pro forma basis.

Tonse said: "Capital planning is an ongoing board-level process. Any capital decisions will be based on a careful assessment of regulatory requirements, the cost and availability of capital, shareholder interests, and the bank's medium-term growth objectives. We will not pre-empt those decisions today. On the legal and accounting aspects, we are examining the judgment in detail, including the available legal options and appropriate steps going forward...

"For us, the responsibility is to deal with the consequences of the judgment in a disciplined manner while continuing to strengthen the underlying franchise."

Yes Bank is the first instance of a public-private partnership between major financial entities, led by the State Bank of India, resulting in its revival through a capital infusion of ₹10,000 crore in March 2020.

TALE OF MISSING CLAUSE

While the revival has been successful, the write-down of the AT-1 bonds is seeing bond holders kicking up a storm.

The RBI's March 6, 2020, "draft scheme of reconstruction of the Yes Bank Ltd" contained a specific clause to the effect that instruments qualifying as AT-1 capital, issued by the bank under the Basel III framework, shall stand written down permanently, in full, with effect from the appointed date.

However, the clause was inexplicably missing from the March 13, 2020, "Yes Bank Limited Reconstruction Scheme, 2020" notified by the Finance Ministry. In their judgment, SC judges Justice Dipankar Datta and Justice Augustine George Masih said: "We do not, for a moment, think that the central government intended to have the AT-1 bonds written down, having regard to the turn of events right from 3rd March, 2020. Instead, it happened to be the administrator who, in our opinion, acted under an erroneous impression or mistaken belief that reconstruction of Yes Bank by virtue of the reconstruction scheme notwithstanding, he retained the authority to write down the AT-1 bonds."

The judges opined that the administrator's action was impermissible and ultra vires the master circular read with the reconstruction scheme.

PROCEDURAL LAPSE

Akshat Khetan, founder of AU Corporate Advisory and Legal Services, said it was hard to fault the judgment on its text: "'before' means before (the reconstruction scheme), and the PONV (point of non-viability) power belongs to RBI. Economically, it produces an uncomfortable result.

"AT-1 instruments exist precisely to absorb losses ahead of equity; here, holders of the riskiest paper recover in full while shareholders who were diluted and SBI, which put in capital on the premise the bonds were gone, bear the cost. The bank was rescued and the rescue cost is now shifted not because the write-down was substantively wrong but because it was done a day late by the wrong person. That is an ₹8,415 crore penalty for a procedural lapse."

He alleged that the deletion of the clause from the final reconstruction scheme did appear as if the government stepped back from the write-down, then allowed the administrator to do quietly what it had declined to do openly.

He described it as an "own goal" for the regulatory machinery, rather than a vindication of AT-1 investors' risk judgment. "Expect a review petition, tighter RBI templates for sequencing in future reconstruction schemes, repricing of Indian AT-1 paper and, eventually, a negotiated outcome rather than a cheque for the full amount. The auditors' qualification means the bank cannot sit on 'evaluating' for more than a quarter or two," he said.

Banking expert V Viswanathan observed that if the RBI's draft scheme of reconstruction of Yes Bank was accepted and notified without the deletion of the write-down clause by the central government, then no court could have interfered as the central bank has the final word on regulatory matters. "A public sector bank infusing capital in a private bank without merging it with itself involves the central government funds and is a good enough condition for invoking the write-down clause. Even after the scheme was notified, had the administrator obtained RBI approval for the write-down, in view of the infusion of equity by SBI and the CET-1 being precarious before the infusion, no court would have entertained any grievance.

"Both options were missed. And the PSB (public sector bank), being an original investor, and now a foreign investor (Sumitomo Mitsui Banking Corporation, which took over a part of the SBI stake) suffer," Viswanathan said.

Venkatakrishnan Srinivasan, founder and managing partner, Rockfort Fincap LLP, observed that Yes Bank's two AT-1 bond issues, carrying coupons of 9.5 per cent and 9 per cent, have a face value of ₹10 lakh each and are perpetual, unsecured instruments.

"The judgment strengthens investors' claim to the principal, but does not mean immediate repayment, as the bonds have no fixed maturity. The court has directed that annual coupons be paid in accordance with the respective information memoranda, although the interaction with their coupon cancellation provisions remains an important issue.

"The case also raises serious questions about selling such high-risk instruments to individual investors. In October 2020, SEBI had introduced stricter rules for AT-1 issuance, including a minimum allotment and trading lot of ₹1 crore. These requirements should not be confused with the ₹10 lakh face value of the earlier issues," he said.

Srinivasan emphasised that the bigger lesson here is that high coupons on subordinated, unsecured AT-1 instruments compensate investors for substantial risks, but do not guarantee income or principal, and the losses can be severe.

Tonse's observation that the bank is evaluating the implications of the judgment with the same institutional responsibility that guides its other decisions suggests that he will cross the river by feeling the stones when it comes to dealing with the AT-1 bonds challenge.

The liquidity ironies are coming to the fore

The markets turn unfathomable as the 10-year yield tests 7.5 per cent and liquidity in the system dries up

MADAN SABNAVIS

ISTOCK

Stock markets are known for volatility and, though there are several theories, it is hard to guess what really drives share prices.

Of late, however, the money and bond (M&B) market has assumed a high tone of volatility never witnessed before.

From a time of worry that call rates were lower than the repo rate, they have now ascended to 5.6-5.7 per cent as some banks are accessing the marginal standing facility (MSF) market. The 10-year yield is now testing the 7.5 per cent level and liquidity in the system has dried up.

Just what is happening in these markets?

THE DEPOSIT DELUGE

It all starts with the liquidity issue. The foreign currency non-resident–bank (FCNR-B) deposit, overseas foreign currency borrowing (OFCB) and external commercial borrowing (ECB) scheme was more than successful, attracting inflows of around $143 billion, of which around $133 billion were from deposits.

This would mean that around ₹13-14 lakh crore of incremental deposits have flowed in over a period of time. As the scheme closed on August 31, the peak liquidity surplus of over ₹10 lakh crore prevailed in early September.

However, this month is critical due to advance tax payments, which build up towards the middle of the month, topped by GST payments, dragging down the surpluses. Post September 20, the surpluses fell below ₹5 lakh crore and are marginally positive today.

There have been other developments that have affected overall liquidity.

First, the RBI conducted open market operations (OMOs), where government securities were sold — first for ₹1 lakh crore and again for ₹25,000 crore. Second, deposits that were at ₹260 lakh crore before the scheme was announced, peaked at ₹278 lakh crore by August-end and ended at ₹283 lakh crore by September-end. This would have included the FCNR and other domestic deposits.

Bank credit during this period increased by around ₹15 lakh crore. Investments increased by around ₹5 lakh crore. Thus, intuitively, the surpluses between liabilities and assets narrowed considerably.

Alongside this, the durable liquidity situation by the end of September showed that the government cash balances that accrue due to tax collections, less spending, stood at ₹5-5.5 lakh crore.

Higher durable liquidity and lower banking surpluses are reflective of slower government expenditure activity, which will add to deposits.

Two other factors affected liquidity. First, while forex reserves increased due to the FCNR scheme, there was also considerable drawdown of the reserves to support the rupee. Hence if the foreign currency reserve levels are examined, it can be seen that from $543 billon on June 5, they peaked at $645 billion on September 11 but fell to $597 billion by October 9. This $48 billion decline reflects a combination of valuation effects — the dollar strengthened in the market; and the RBI sold dollars in the market.

All sales involve removal of liquidity from the system.

The other factor at play has been the overwhelming size of IPOs, which causes temporary distortion in the deposit-credit matrix as funds get held up till the listing date. This affects the liquidity in the system.

CASH HOLDOVER

All these factors have combined to reduce the liquidity in the system to the extent that the RBI has started on the variable rate repo series of operations to infuse liquidity. There is also an anomaly in the system with investments of around ₹1.6 lakh crore in the standing deposit facility (SDF), meaning that some banks have surplus liquidity while others don't.

But this is more due to uncertainty over cash flows and the compulsion now to maintain 99 per cent cash reserve ratio (CRR) on a daily basis. This forces banks to hold on to cash to meet the requirement, and they invest the balance in the SDF window.

The liquidity issue relates not just to the money market but also spills into the bond market. The thumb rule for the ideal liquidity position is 1 per cent of the net demand and time liabilities (NDTL) in the system, which works out to around ₹3 lakh crore. As the level fell short, the impact was seen on the T-bill auctions during the week, where the market wanted higher cut-offs, and it led to the cancellation of the auction.

Bond yields, too, have spiked to 7.4-7.45 per cent while testing 7.5 per cent. The sentiment turned more sombre with the release of the monetary policy committee meeting's minutes, which seemed to suggest there would be more aggressive rate hikes in the coming policy. While the MPC story is old, the market reacts to the minutes quite irrationally. But it is a reality.

Will the situation change and, if so, how soon? The answer, at best, is a shrug of the shoulder. Bank deposit growth will be fickle with the IPO market taking precedence for deposit holders. Credit growth at the retail and corporate ends will continue, thus putting pressure on liquidity. The government would need to spend more, which will hopefully happen soon.

Will the RBI continue to sell dollars? One can't tell right now. As these factors play out, we can expect more VRR auctions to support liquidity and OMO purchases rather than sales, if the situation remains grim going ahead.

The writer is Chief Economist, Bank of Baroda, and the author of 'Policies that Shaped Modern India'. Views are personal

QUICKLY.

Companies get more time to file FY26 statements

New Delhi: The corporate affairs ministry has extended the deadline for companies to file their annual financial statements for FY26 till December 31. Besides, they can submit their annual returns to the ministry till January 31, 2027, as per a circular. The extension of deadlines follow representations from stakeholders as they were facing issues in submitting the filings through the MCA 21 portal. PTI

Riyadh airport starts ops after two-week shutdown

Riyadh's main airport reopened to global air traffic after a two-week shutdown, despite sustained Houthi attacks on Saudi Arabia's capital over the weekend. Dozens of flights departed King Khalid International Airport early on Sunday to destinations including London, Dubai and Beijing, according to the airport's website. Most global carriers still have a suspension in place, meaning air traffic into and out of Riyadh is still limited. The airport had suspended operations following attacks on October 10-11. BLOOMBERG

Nepal exports electricity worth $39 million to India

Kathmandu: Nepal exported electricity worth over $39 million to India between mid-September and mid-October, an official said on Sunday. Despite damages to several hydropower projects due to flash floods in August, the country exported 633.986 million units of electricity to India during the period. PTI

Smartphone market slump may hurt mobile PLI 2.0 applications

BAR TOO HIGH. The new scheme currently aims to support brands with at least ₹10,000 crore in FY26 turnover

Vallari Sanzgiri
Mumbai

DOUBLE WHAMMY. Hesitancy among local players and challenges in scaling production amid a worsening component shortage are said to be affecting, too BLOOMBERG

Muted smartphone sales and global market pressures are likely to affect the pace of applications for the mobile phone manufacturing scheme (MPMS).

Companies may not be able to meet the eligibility criteria for the scheme that incentivises mobile manufacturing as the industry battles persistent component price rises and poor buying behaviour, industry sources told *businessline*.

They also note hesitancy among local players and challenges in scaling production amid a worsening component shortage, and expect much of the PLI's domestic benefit to be absorbed by contract manufacturers.

NO IMPACT?

An industry source, on anonymity, said the scheme largely helps increase the overall manufacturing capacity and fails to assist with the current challenge of managing volumes. "While the scheme is likely to boost production, it is unlikely to have any impact on the domestic players," said a source.

The application window for target segment-1 (TS-1) of MPMS, which relates to mobile phone manufacturers and EMS providers registered in India with a minimum turnover of ₹10,000 crore in FY26, formally opened on October 15. The application window for TS-2 (for those with a minimum turnover of ₹1,000 crore) has not yet been notified.

An Indian smartphone OEM, which wished to remain unnamed, said it is still waiting for the separate set of guidelines applicable to the Made-in-India brands (TS2).

The brand said it is also seeking more information from policymakers to evaluate whether to apply for the scheme. Others, including Vivo, Itel and Nothing, declined to comment on queries regarding PLI.

While the share of Indian brands' shipments rose from 2 per cent in Q3 2025 to 7 per cent, the overall market slumped 20 per cent annually, as per Counterpoint Research. But domestic brands will still have to ramp up volumes to qualify for the MPMS scheme.

EMS players said PLI is still significant for both OEMs and contract manufacturers, but there will be a need to re-evaluate some of the eligibility terms of the scheme.

"If volumes scale down globally, then the targets required to apply for the scheme are also affected. It may happen that, like the earlier version of the scheme, the industry may ask for a revision of criteria by the end of December this year," said Faisal Kawoosa of Techarc.

WHO BENEFITS?

Counterpoint Research's Shubham Singh said the scheme is expected to benefit OEMs by cushioning margin pressures through continued incentives linked to revenue targets, while additional incentives for local sourcing could stimulate domestic component demand.

The MPMS offers an incentive of 5 per cent for Indian brands and an additional incentive of 3 per cent for Indian design and R&D. Further, it gives an additional incentive of up to 1.5 per cent for domestic sourcing of key components/sub-assemblies for both the target segments.

(With inputs from Sindhu Hariharan)

AI Express, IndiGo to move few Mumbai-origin flights to Navi Mumbai

Aneesh Phadnis
Mumbai

BREATHING ROOM. The move creates headroom for phased redevelopment of Mumbai airport's Terminal 1

Air India Express and IndiGo are shifting domestic and international flights from Mumbai to Navi Mumbai Airport, with a major focus on West Asia, transferring around 3 million passengers annually.

The transition, which begins in December, will stretch into the next summer schedule. The development is a major boost for Adani Group, which faces resistance from global airlines over shifting one-third of its flights from Mumbai to Navi Mumbai. It will also create necessary headroom for phased redevelopment of Mumbai airport's Terminal 1, an executive said.

NEW FLIGHT PLANS

In a joint statement on Sunday, Adani Group and IndiGo said 12 daily international departures will progressively shift from Mumbai to Navi Mumbai. This accounts for more than a third of IndiGo's current international departures from Mumbai and includes destinations in West Asia such as Bahrain, Kuwait, Oman, the UAE and Saudi Arabia. The capacity transition will create room for IndiGo to add new services from Mumbai to Asia, Africa and Europe besides developing another hub at Navi Mumbai airport.

Air India Express will shift four flights to Navi Mumbai in December. A flight to Muscat and one to Kuwait are planned from January. The move suggests IndiGo and Air India's flights to Dubai and Abu Dhabi will continue from Mumbai for now.

Even as Indian IT sees strong bookings, revenue gains take time to materialise

Sanjana B
Bengaluru

India's top IT-services firms continued to report healthy deal wins in Q2, but the conversion of contracts into revenue remains a challenge, with longer implementation cycles and client focus on cost optimisation delaying the payoff from strong bookings.

HOW THEY FARED

During the quarter, HCLTech reported a total contract value (TCV) of $3.25 billion in new deal wins, up from $2.4 billion in Q1. TCS reported an order book TCV of $9.6 billion ($9.5 billion) and Infosys saw large deal wins with $5.2 billion TCV, of which 62 per cent was new business.

Wipro's total bookings stood at $2,595 million, down 22.9 per cent q-o-q on constant currency terms, while large deal bookings fell 58.6 per cent CC to $674 million. Tech Mahindra reported a TCV of $1,023 million.

TCS chief K Krithivasan said the company was confident of sustaining its growth momentum in the medium term, supported by its deal TCV, pipeline and client conversations.

Wipro's Srini Pallia, meanwhile, said some deals were pushed into the current quarter as the contracts could not be signed on time in Q2. "Our pipeline is robust... We are optimistic on the deals we have currently, which should give us revenue upside in Q4 as well," he added.

Despite demand returning this quarter and healthy deal signings, the top 5 firms reported close to $20 billion of bookings, less than Accenture's $22 billion, said Praveen Bhadada of Neovay Global. "Conversion is the issue. Infosys cut guidance in a strong deal quarter, Tech Mahindra's 12-month deal wins rose against 6.8 per cent revenue growth, and TCS signed $9.6 billion but grew 0.2 per cent sequentially."

Torrent Pharma looks to launch semaglutide in Brazil within a year

Avinash Nair
Ahmedabad

Torrent Pharmaceuticals plans to launch semaglutide in Brazil over the next six to nine months, Managing Director Aman Mehta said.

Semaglutide is a GLP-1 receptor agonist used to treat Type 2 diabetes and, in certain formulations, obesity. Torrent has launched the drug only in India so far and is now looking to expand into Brazil, where a large local player's entry into the generic semaglutide market has accelerated growth over the past three months, Mehta told investors recently.

FINANCIAL HEALTH

Torrent's Brazil revenues stood at ₹440 crore in the second quarter of FY27, up 38 per cent year-on-year. In constant currency terms, revenue rose 20 per cent. The company grew 26 per cent during the quarter against market growth of 6 per cent, according to IQVIA, aided by the performance of its leading brands and new launches. Torrent has 53 products under review with Brazil's health regulator, ANVISA.

"Brazil will continue to grow in double digits in the mid-teens range because we have strong momentum from our new launches as well as from other businesses," Mehta said. Torrent operates four business units in Brazil — cardiovascular and diabetes, central nervous system (CNS), generics and non-retail — and all four are performing well, he added.

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